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CONFIDENTIAL MEMORANDUM
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CONFIDENTIAL MEMORANDUM

Headwaters MB has been appointed as the exclusive financial advisor of Consolidated Utility Services, Inc. ("CUS" or the "Company") for the solicitation of a qualified investor ("Investor") to purchase the Company. The information contained in this Confidential Memorandum ("Memorandum") has been prepared for the sole purpose of providing interested parties with general information to assist them in their evaluation of the Company. All inquiries regarding the Company should be directed to Headwaters MB.

This Memorandum has been prepared from information, estimates, and assumptions provided by the management of CUS ("Management") and other sources believed to be reliable. Nothing contained in this Memorandum is, or shall be relied upon as a promise or representation by Headwaters MB, Management, or the Company as to either past or future performance of the Company. The contents of the Memorandum have not been independently verified by Headwaters MB, Management, or the Company, and any of their respective affiliates, employees, or representatives expressly disclaims any and all liability relating to or resulting from the use of this Memorandum, or such other information as may be provided, whether communicated in oral or written form, to a potential Investor or any of its affiliates or representatives. The recipient expressly understands and agrees that any estimates, projections, and assumptions are uncertain and accordingly, no representation can be made as to their attainability. Only those representations and warranties made in a definitive, written purchase agreement, and subject to such limitations and restrictions as may be specified therein, shall have any legal effect.

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The Memorandum is not intended to provide the sole basis for the evaluation of the Company or any other evaluation and does not purport to contain all of the information that may be required to evaluate the Transaction. Each potential Investor must rely on its own appraisal of the Transaction and its own independent verification of the information in the Memorandum and any other investigation it may deem necessary for the purposes of determining whether to submit a proposal in connection with the Transaction.

Headwaters MB is acting as exclusive financial advisor to CUS in connection with a possible transaction involving the Company. Under no circumstances should the Management or the Company or any of its employees be contacted directly. All inquiries relating to the Company should be directed to the following individuals at Headwaters MB:

Robert Heilbronner
303.572.6008
rheilbronner@headwatersmb.com

Chris Haymons
303.572.6003
chaymons@headwatersmb.com

Ted Kinsman
303.572.6013
tkinsman@headwatersmb.com

Michael Lucas
303.217.5744
mlucas@headwatersmb.com

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Headwaters MB
1200 17th Street, Suite 900
Denver, Colorado 80202

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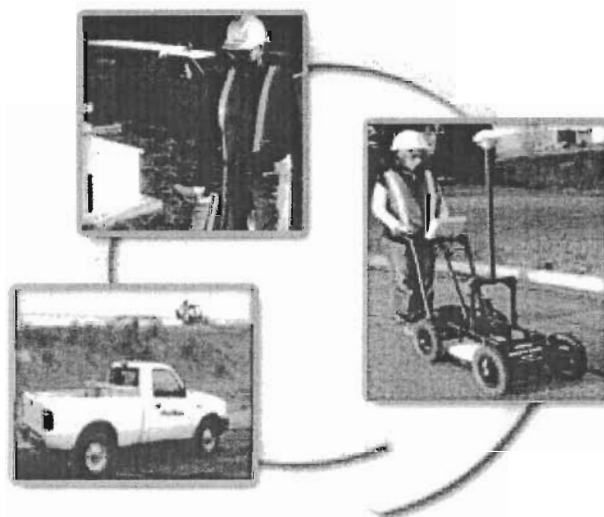




1. EXECUTIVE SUMMARY

Introduction

Consolidated Utility Services, Inc. ("CUS" or the "Company") is an industry-leading and geographically diversified provider of a full spectrum of utility damage prevention process services and solutions, including underground utility locating, one-call management, and asset management services. The Company provides this suite of services to customers from the utility (gas, electric, water, sewer, etc.), telecommunications and cable industries for whom such services are non-core activities. Managed from its headquarters in Omaha, Nebraska, CUS's 800-person work force operates in 15 states and the Canadian province of Alberta. The Company performed over 4.8 million locates in 2005. CUS has projected revenues in 2006 of \$57.4 million and EBITDA of \$8.5 million; utility locating services currently account for more than 98 percent of revenue.



The risk of damage to underground utility, telecom and cable assets exists any time excavation activities are undertaken across the entire range of project types from utility, telecom, transportation, municipal and general infrastructure development, to landscaping, fencing and irrigation. For the utility, telecommunications and cable industries, asset management is an expensive and ongoing cost of doing business. Returns on investment in asset acquisition and/or installation are impacted significantly by the cost of maintaining field assets over their long lives. CUS helps its customers manage the costs and service risks associated with damages to their buried infrastructure. Government studies predict the U.S. will see population growth in excess of an additional 100 million more residents over the next 35 years. This demographic trend will require a tremendous expansion in infrastructure in order keep up with the increase in demand. This significant population growth, coupled with the antiquated condition of the existing utility networks and the growing infrastructure buildouts by telecom and cable TV industries, will provide long-term increasing demand for underground damage prevention services.

CUS provides critical services to its high-quality, diversified customer base under attractive contractual agreements. The platform has been put in place by an industry leading management team that has combined two mid-size operations and successfully completed the integration of those operations. Revenues have grown consistently while EBITDA has grown over 12 percent per year since the combination. The Company is now poised to take advantage of numerous growth initiatives, both organically and through further acquisition.

The Company

CUS was formed by a team of highly experienced professionals with the objective of creating a new, industry-leading platform company. Prior to founding CUS, CEO Rob Karam and COO Brian Johnson led UtiliQuest LLC, the largest company in the industry. In addition to significantly improving UtiliQuest's earnings, market share and operating efficiency, the team pioneered the use of wireless technology to improve responsiveness in the field and implemented a real-time monitoring infrastructure to ensure on-time delivery and quality. The team ultimately assisted in the sale of UtiliQuest to Dycom Industries, Inc. Rob and Brian then went on to form CUS by combining two mid-size regional utility services companies, ProMark Utility Locators ("ProMark", southeastern footprint), acquired in late 2004, and Great Plains Locating Service ("GPLS", midwestern and plains states) and its one-call management subsidiary, Great Plains One Call ("GPOC"), both acquired in early 2005.

CUS's strategy is to address the damage prevention industry as a "supply chain" where the entire lifecycle of outside and buried assets can be optimized. The result is a client service model delivering the advantages of cost reduction, risk mitigation, and increased asset value. The Company provides an integrated suite of services, including:

- *Underground utility locating services* - establishing the exact location of buried infrastructure in proximity to an area where underground excavating is to occur, and marking it on the ground surface with colored paint and/or flags;
- *One-call management* - CUS operates the Nebraska one-call center, handling in-bound calls from parties planning to excavate in that state, and forwarding associated "tickets" for locating to the impacted utilities or those acting on their behalf;
- *Damage and claims management services* - outsourced management of claims of damaged infrastructure on behalf of third parties; and
- *Audit and compliance services* - providing field survey services for the purpose of establishing and maintaining data concerning the location and condition of field assets



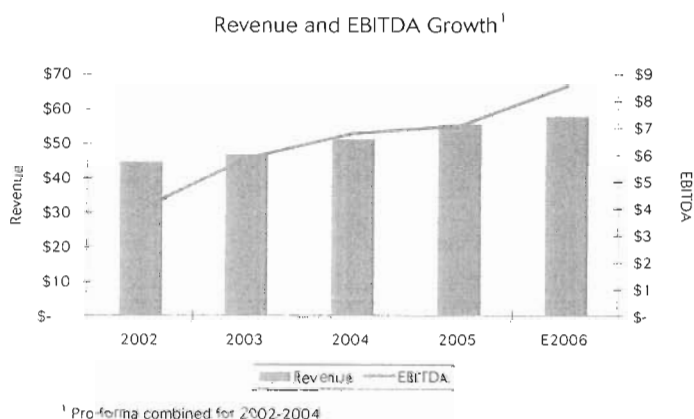
As discussed above, locating services currently account for approximately 98 percent of the Company's revenue. CUS typically performs its locating activities under multi-year contracts or renewable one-year contracts. The average term of its current portfolio of over 180 contracts is approximately 3.2 years.

The Company's one-call business holds the exclusive contract for the state of Nebraska, generating approximately \$1.6 million in revenue per year. The other

services, including damage and claims management and audit and compliance services together currently constitute a small percentage of revenue. While these business lines currently represent a negligible amount of the Company's revenue, Management believes these services could become a major source of growth for CUS if targeted in the future (for more detail refer to Industry Overview section).

The CUS Management team has successfully consolidated the operations of Great Plains and ProMark and has generated both cost synergies and economies of scale in the combined entities. Management has implemented modern communications, data capture, and reporting and management tools, resulting in a highly advanced operating model with significantly increased profit margins.

Based on the pro-forma combined sales of ProMark and Great Plains in 2002 and the projected full year consolidated results for 2006, the Company has grown revenue from \$44.4 million to \$57.4 million, translating into a 6.7 percent compound annual growth rate ("CAGR"). For the same period, adjusted EBITDA has grown at a 21.2 percent CAGR from \$4.0 million in 2002 (8.9 percent margin) to projected \$8.5 million in 2006 (14.8 percent margin). Based on these figures and other information, Management believes CUS is one of the five largest companies in the industry in terms of revenue.



Management estimates that the Company has the potential, solely through organic growth and further profitability enhancement, to reach \$81 million in revenue and nearly \$13 million in EBITDA by 2011. In addition, Management believes opportunities exist for further growth through continued development of its ancillary service divisions as well as accretive strategic acquisitions.

Industry Overview

North America has a vast underground infrastructure of pipelines, conduits, wires and cables carrying natural gas, telecommunications, electricity, water, sewage, cable TV, petroleum products, and other vital goods and services. Any excavation activity performed for any purpose creates significant potential for disruptions to this underground infrastructure. The owners of these assets rely upon the utility locating and damage prevention industry to mitigate the risks involved in the excavation activity that is proximate to their buried assets. These risks include damage to the infrastructure, the interruption of service to customers and other damages consequential to unintended contact with the buried infrastructure.

CUS estimates that approximately 60 percent of underground locating activity is currently outsourced to third party contractors. This marks the continuation of an

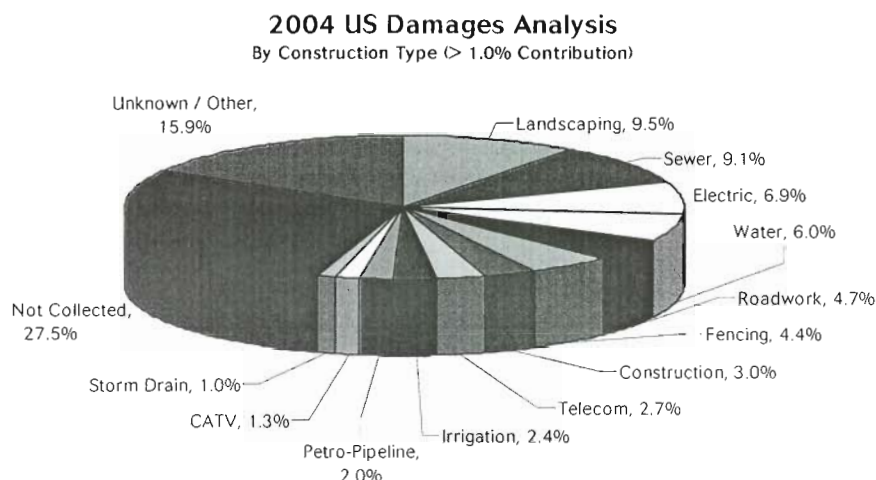
ongoing trend by the utility and telecom industries toward increased outsourcing of activity that does not directly interface with the customer. Other factors contributing to the development of the industry in the 1990s include the declining membership and influence of unionized labor at utilities, and greater compliance with state-based one-call legislation.

The North American underground utility damage prevention market is comprised of the following general activities, in order of size:

- **Field Locating:** This activity represents nearly \$1.2 billion (86 percent) of the overall \$1.4 billion underground utility damage prevention industry. The volume of work performed by locating companies such as CUS is driven by the totality of excavation activity proximate to their customers' assets, not by the excavation activity of the customers themselves. In the case of any given planned excavation, infrastructure owned by several CUS customers may be impacted, in which case the "ticket" generated by the one-call center receiving notice of that excavation will provide CUS with multiple locates to perform and, accordingly, multiple revenue events from a single site visit by one of its technicians.
- **Notification:** Under regulations enacted in all U.S. states in the 1990s, any individual or entity planning to perform any excavation activity is required to notify a dedicated regional one-call center in order to serve notice of imminent digging activity. The states typically outsource the management of these call centers (on a state-wide or regional basis) to private-sector entities. Management estimates the total size of this market segment to be approximately \$120 million per year, consisting at present of 62 call centers across the U.S. and five in Canada.
- **Damage / Claims Management:** Third party damage and claims management is an emerging segment of the underground damage prevention industry that consists of (i) investigation of the cause of the damage, (ii) generation of the reports that describe the organization at fault and the corresponding claim request and (iii) administration and collection of the claim in full or a negotiated amount. With the infrastructure, people and systems already in place to manage its own damage claims, CUS is emphasizing this service capability to its customers and believes that this service, with an estimated \$300 million market, may become an important business line over the next few years.



CUS's core business is broadly correlated with the overall long-term level of activity within the \$1.2 trillion North American construction market. In this context, "construction" refers to the installation of fixed infrastructures, including utility lines, transportation routes, communication systems, as well as commercial, industrial and residential structures. For the 12 months to August 2006, the overall construction put-in-place rose 4.4 percent over the same period in the prior year. Within this, non-residential utility/transportation expenditures grew significantly, with the private segment up 29.7 percent and the public segment up 13.5 percent.



While activity within individual sectors of the economy may ebb and flow, the stable annual growth of ticket volumes in the locating industry arises in part from the broad distribution of the activities which generate the excavation need. In 2005, The Common Ground Alliance, a damage prevention industry association, published an analysis of the damages to utility and telecom infrastructure reported in 2004 (see chart above). The analysis found that no single category of construction accounted for more than 10 percent of all damages. Management believes that, while the analysis pertains specifically to damages reported, it is also suggestive of the breadth and distribution of sources of excavation that generate locating activity as well. The landscaping and fencing categories are likely over-represented as a source of overall locating activity, as the relatively low level of compliance with one-call legislation of home owners likely leads to a higher incidence of damages per dig.

In summary, the sources of excavating activity, as derived by the above damages analysis, are numerous and driven by a large variety of non-correlated sources.

Transaction Overview

American Capital Strategies ("ACAS"), River Associates, and Management, the controlling shareholders of CUS, have recognized that the Company is at a critical juncture. Having achieved their targeted results from successful integration and improvement efforts, the group wishes to see the Company expand its growth horizon through a more aggressive approach to new business development in its core and ancillary markets, including a comprehensive strategy for growth through acquisition. As a result, the shareholders have decided to explore a sale of the Company and have engaged Headwaters MB as exclusive financial advisor. In certain circumstances, members of Management may consider re-investing a portion of their proceeds from the contemplated sale. Any transaction will be structured as a sale of the stock of CUS.

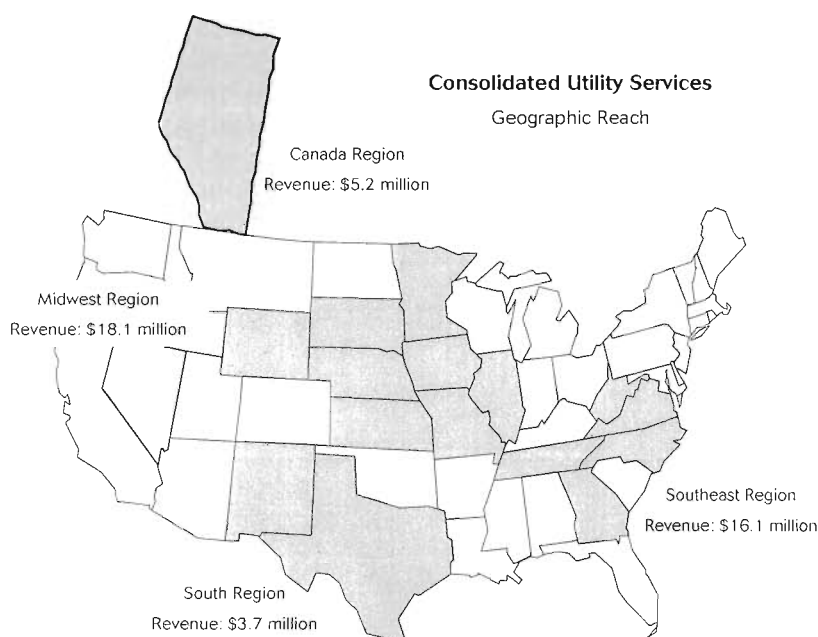


Transaction Considerations

Prospective investors may wish to consider the following in their evaluation of the Company and the contemplated transaction:

Top-Performing, Geographically-Diverse Industry Leader

The Company estimates that it is the fourth or fifth-largest company by revenue in the underground utility locating industry, with projected 2006 sales of \$57.4 million. It operates in 15 states across the south and midwest, as well as in Alberta, Canada. The Company's southern footprint allows it to benefit from the less pronounced seasonality in the construction industry in those areas, while its Canadian business continues to benefit from the effects of booming hydrocarbon-related infrastructure development activity. No single state accounts for more than 18 percent of the Company's revenue. This geographic diversity allows the Company to generate top line and earnings results that reflect the overall long term growth of the infrastructure maintenance and installation activity in North America.



YTD revenue as of September 30, 2006. Excludes Colorado which was discontinued in April, 2006

Strong, Long-Term Underlying Growth Dynamics

Several broad trends support the Company's continued growth:

- *Backlog of utility infrastructure capital investment.* Arising from both the anticipated growth of the U.S. population (various estimates suggest approximately 100 million additional inhabitants by 2040) and the aging and poor condition of existing electric transmission/distribution, water, sewer and transportation infrastructure, the level of excavation related to these large and easily-financed sectors of the economy will continue to exhibit strong growth over the next several decades. Additionally, the mandated undergrounding of power lines in states like California and the

continued rebuilding process from hurricane damage in the Southeast will drive increased locating activity.

- *The continued drive by telecom and cable companies to build out “last mile” infrastructure and capitalize “fiber to the premises” initiatives.* U.S. wireline and MSO (multi system operator) capital expenditures began to grow again in 2004 after a drop from the spike in 2000 and 2001. Capital expenditures in this sector are projected to grow 4 percent in 2006 with continued low to mid-single digit growth in 2007 (July 2006 Morgan Keegan equity research). With the increased competition from telecom companies, cable companies also continue to enhance and update their network architectures, requiring similarly significant infrastructure development over the next five to eight years. (See Industry Overview for further details).
- *The ongoing trend for the utility, telecom and cable industries to outsource non-core services.* Increased focus on core competencies has led utilities to seek streamlined workforces by outsourcing non-revenue generating functions. Declining union representation has reduced one of the constraints that has historically been placed on outsourcing. Merger and acquisition activities in the utilities industry have also led to early retirement offers to long-term workers with legacy knowledge of “the field.” Having contractors such as CUS as the keepers of ongoing field operations and asset management knowledge and experience reduces this risk for customers in the future. In addition, as telecom and cable companies compete for market share, they continue to work toward a reduction of their unionized work forces in an effort to bring costs in line with the increasingly competitive landscape. One strategy in this effort is to outsource a greater proportion of non-customer facing work functions.
- *Persistent “call before you dig” awareness messaging by state one-call boards and public service commissions.* By law, excavators are required to notify appropriate parties of their intentions to dig, thereby potentially generating a locate request for every excavation in the U.S. Management estimates indicate 98 percent awareness by excavators, but only 75 percent compliance with such regulations by excavators and home owners. Marketing budgets of state one-call boards and public service commissions will continue to broadcast these “call before you dig” regulations and increase the compliance by excavators, thereby increasing locating requests.

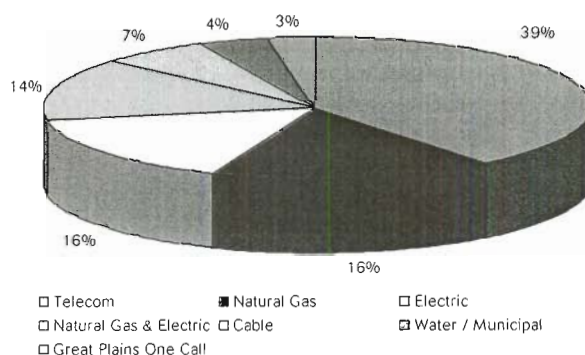
Blue Chip, Diversified Customer Base

CUS’s revenue is principally generated from a diversified mix of large-cap public utilities and sizeable cable and telecom providers. The Company’s top 10 customers accounted for only 53.5 percent of the total revenue base for YTD September 2006. On a revenue-weighted basis, the top 30 customers, who account for 90 percent of the Company’s revenues, have been with CUS for approximately 5 years on average and are spread across all of the Company’s operating districts.

The Company’s customer list includes names such as Bellsouth, Atco Gas, Comcast, Ameren, Alliant, West Virginia Water Authority, Westar and Sprint, among others. Only five clients individually accounted for more than 5 percent of YTD

September 2006 revenues, with the largest being Bellsouth, at approximately 9 percent. The customers are also diversified across the various utility industries. These companies' underground assets are a core part of their business, providing a highly predictable demand for locating services. In addition, the credit rating of CUS' customers is typically very strong, (in every year from 2004 to the present, Company bad debts have been less than \$100,000). Due in part to these factors, CUS enjoys a high degree of visibility and predictability to financial results. For example, for YTD September, 2006, the Company is within two percent of each of budgeted revenue, gross profit and adjusted EBITDA (above budget in each case).

YTD 2006 Revenue By Customer Type



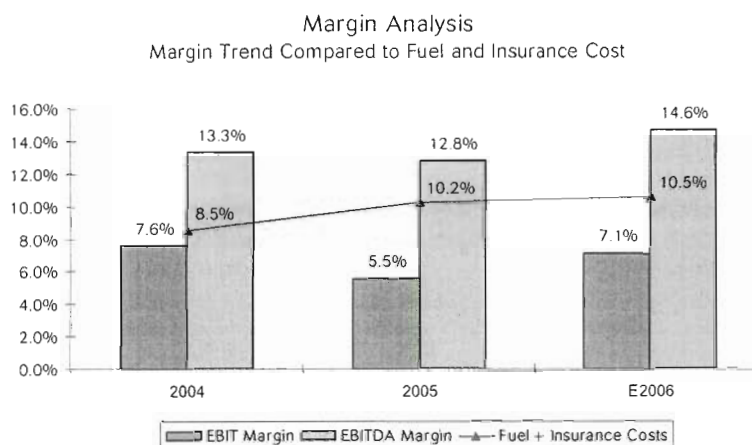
Advanced Operating Model

Management's intention in forming CUS was to apply its superior operating experience to create the most operationally advanced and efficient company in the utility locating industry. Areas in which the Company believes it has created operating efficiency advantages compared to its peers include:

- Robust data collection, reporting and analysis toolsets
- Lower number of field offices, based upon use of enhanced wireless communications and wireless ticket management
- Automatic dispatch with no need for depots to manage its highly mobile work force
- Rationalized wireless and hard-line IT infrastructure
- Implementation of effective and timely training of the field staff across the seasonal demand curve

This efficient operating model has allowed the Company to generate improved margins despite rising costs of insurance and fuel over the past few years, as illustrated in the chart below.

Additionally, Management believes CUS is an industry leader in damage management, a crucial cost component in the locating industry. For Q3 2006, damage costs as a percentage of revenue were approximately 3.6 percent compared to 4.3 percent in Q3 2005. Furthermore, the Company has successfully increased the productivity of its work force, as evidenced by an increase in revenue per employee from approximately \$70,000 per year in 2004 to \$75,000 in 2006. Management believes that further opportunities for improved cost efficiencies remain in purchasing, vehicle fleet management, and route optimization.



Larger and longer-term utility locating contracts are often put out to competitive bid amongst the largest locating companies. In such situations, price is generally one of the most important factors to the customer. The Company believes that, in such situations, its industry-leading operating model and advanced systems would allow it to be more aggressive than its competitors on price (should it choose to do so for strategic reasons) and still maintain acceptable margins, which generate strong returns on capital employed.

Experienced Management Team

The CUS Management team benefits from their collective industry experience, their significant multi-discipline skill set formed both inside and outside the industry, and the ownership stake they hold in the Company. Prior to founding Consolidated Utility Services, Chief Executive Officer Rob Karam and Vice President and Chief Operating Officer Brian Johnson led the management team of one of the Company's largest competitors, UtiliQuest, where the two served as Chief Executive Officer and Senior Vice President, Operations, respectively. Over the course of 2000 and 2001 they quadrupled earnings at UtiliQuest by means of both organic growth and strategic acquisitions and grew market share of the company from third to first in the industry. Subsequently, in 2003, they led the divestiture of UtiliQuest to Dycom Industries, Inc., the largest transaction in industry history.

At the time of their respective acquisitions in late 2004 and early 2005, ProMark and Great Plains employed processes, systems and organizational structures well suited to their former sizes, but not robust and flexible enough for the newly formed CUS to execute its strategy and operate at the peak of its integrated potential. During the remainder of 2005, Management addressed these issues by implementing numerous operational and system upgrades. The Company also filled various corporate and field supervisory positions with a group of experienced professionals who could aid in the execution of the Company's strategy. The team's post-merger integration work has delivered approximately \$0.8 million in cost synergies, and an organizational toolset that will help drive future growth has been built and implemented. It is noteworthy that the prior controlling owners of both ProMark and Great Plains each agreed to re-invest a portion of their sale proceeds in CUS without on-going active involvement, a testament to the Management team's regard within the industry.

Opportunities For Growth From Organic Sources and Accretive Acquisitions

The Company has targeted the following growth opportunities:

Continue Adding New Locating Contracts. There are three primary strategies for gaining additional locating contracts:

- Layering additional contracts with new customers in areas where CUS already has a base level of activity;
- Expanding in contiguous service areas with major customers who currently in-source or use a different provider; and
- Entering new geographic markets as M&A and other growth activity by its core customers presents opportunity.

Market and Sell Additional Products and Services with Intellectual Property Components and/or Residual Value for Customers. By leveraging its existing customer relationships, and re-assigning existing internally-focused business activities and staff, CUS is positioned to generate revenue from providing additional, ancillary services to certain utility customers, in some instances creating a new market for these third party services. These service offerings, such as damage and claims management, as well as audit and compliance services, utilize proprietary data capture and centralization and delivery models, requiring greater technology and training expertise than most locating competitors can offer, but which the Company already possesses.

Pursue Additional Add-on Acquisitions. The outsourced segment of locating industry participants is stratified into two basic tiers. The top tier is comprised of five companies totaling approximately \$580 million in 2005 sales, with CUS estimating that it is the fourth or fifth-largest and approximately double the size of the sixth-largest. The second tier comprises numerous companies generating annual locating revenue of less than \$25 million, and most frequently less than \$10 million. With its excellent geographic breadth, advanced operating model and experienced management team, CUS represents an ideal platform for growth through acquisition of a large competitor and/or a number of smaller participants.

Significant Available Synergies

Business combinations in the locating industry present strong synergy opportunities due to the natural scalability of the business. With corporate and management costs representing a significant percentage of total costs, the elimination of redundant personnel can meaningfully impact results. Other areas of overhead synergy include travel costs, ticket management costs, rent expense and consulting fees. Field synergies are also material, particularly in the context of overlapping or contiguous operations; greater density of routing, enhanced productivity per field technician, lower fuel costs and vehicle mileage per dollar of revenue can all dramatically improve profitability. While its two predecessor entities had no geographic overlap, CUS has extensive overlap with each of the four other top-tier industry participants and many of the smaller players.

Finally, with its advanced operating systems and data-analysis toolsets, CUS is in a strong position to maximize such synergies in a short time frame. Whether as an acquirer of smaller locating companies or as a target, the same types of business combination benefits that led to the formation of CUS remain available for further capture.

Selected Financial Information

Set out below is a summary of the Company's income statement for 2004 through projected 2006 and 2007. Over the 2004-2006 period, revenue has demonstrated a CAGR of 6.2 percent. EBITDA has experienced a CAGR of 12.2 percent and EBITDA margins have grown from 13.3 percent to 14.8 percent. Top-line growth for 2007 and subsequent years will be driven by organic (ticket volume) growth, market share gains, layering of contracts, and expansion into new geographic areas. Growth in the One-Call business has been projected in line with historical experience. The Company has projected relatively minor growth in the ancillary business, although significant growth potential is envisaged for these services. Margin growth will be driven by a confluence of factors including:

- Increased labor cost management awareness and application of the combined Company toolset across a greater range of management;
- The continued layering of new business in existing markets;
- Implementation of piece work programs to a specific subset of employees;
- Although not part of the current or projected results, the Company believes there is substantial productivity improvement available via route optimization and related personnel oversight via the use of route optimization software and GPS technology.

The Company has strong forward visibility in to its near-term financial performance, based on its systems and the underlying relative predictability of volumes and costs. Revenue for the 9 months ending September 30, 2006 was 0.7 percent above budgeted revenue for the period, and EBITDA was 2.3 percent above budgeted EBITDA for the period. Based on this near-term business predictability, Management is confident that its current forecast for full year 2006 and 2007 (set out below) will be met.

	Historical CYE Dec. 31,		Projected		YTD Period Ended Sept.	
	2004	2005	2006	2007	2005	2006
Revenue	\$50,930	\$55,172	\$ 57,442	\$ 60,526	\$41,640	\$44,578
Direct Labor ¹	20,881	22,554	22,976	23,645	17,048	17,631
Gross Profit	30,049	32,619	34,466	36,881	24,592	26,947
Total SG&A	23,102	25,690	26,206	27,805	19,326	20,258
EBITDA	6,947	6,929	8,260	9,075	5,266	6,690
Adjustments						
Other income/expense	(180)	121	252	58	195	227
Adjusted EBITDA	6,767	7,050	8,512	9,133	5,461	6,917
Depreciation & Amortization	2,918	3,999	4,280	4,435	2,421	3,186
Adjusted EBIT	3,849	3,051	4,232	4,698	3,040	3,731
EBIT	4,029	2,930	3,979	4,640	2,845	3,503
Interest	462	1,994	1,981	1,567	1,479	1,466
Taxes	523	160	550	1,000	0	0
Mgmt Fees and Trans Costs	1,593	598	301	300	357	226
Net Income	1,270	300	1,400	1,831	1,205	2,039
Growth Rate Analysis						
Revenue	N/A	8.3%	4.1%	5.4%	6.0%	7.1%
Adjusted EBITDA	N/A	4.2%	20.7%	7.3%	-10.0%	26.7%
Margin Analysis						
Gross Profit	59.0%	59.1%	60.0%	60.9%	59.1%	60.5%
Adjusted EBITDA	13.3%	12.8%	14.8%	15.1%	13.1%	15.5%

¹ Only field labor (techs) are considered COGS; consumable costs are in SG&A



2. COMPANY OVERVIEW

History

From 2000 to 2003, Rob Karam and Brian Johnson served as the key leadership team of UtiliQuest (previously owned first by Enron, then GFI Energy Ventures). Under their leadership and quest to improve efficiency and profitability, UtiliQuest became the largest participant in the locating market. UtiliQuest was sold to Dycom Industries, Inc. in 2003, at which time Karam and Johnson left the company. In late 2004, they founded Consolidated Utility Services with the backing of River Associates and ACAS, and acquired ProMark in November, 2004. In January, 2005, CUS acquired GPLS. The team immediately commenced the consolidation of the operations of both companies into a single business, while retaining the two legacy brands as necessary, and transitioning the CUS brand into all subsequently initiated or renewed contracts.

ProMark, with operations focused in the southeast, was founded in 1985, originally as North American Locating, Inc. In 1996, its name was changed to ProMark. At the time of its acquisition by CUS, it employed more than 300 locators operating in 10 states and one Canadian province.



GPLS was founded in 1993, in relation to its three founders' instrumental role in the drafting of Nebraska's *One-Call Notification Act*. A year later, the company commenced damage prevention operations in Omaha, Nebraska. Over its 12-year history and until its acquisition by CUS in 2005, GPLS had grown to nearly 500 employees, servicing approximately 100 utilities and a number of private companies across the Midwest.

Today, CUS operates as one of the leading providers of utility damage prevention process services and solutions, including underground utility locating, one-call management, and asset management services in 15 states, as well as Canada, fielding more than five million utility locate requests annually.

Service Offerings

Below is a description of the Company's service offerings.

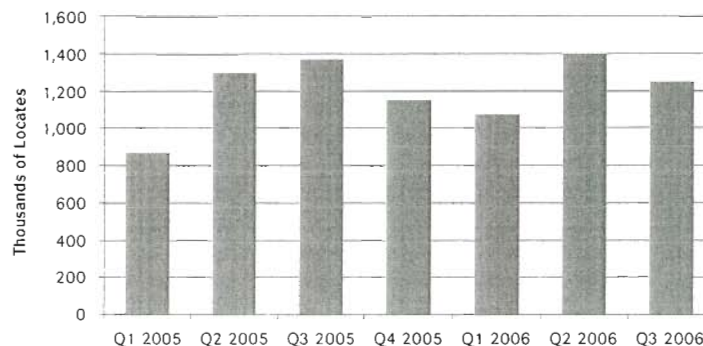
Underground Utility Locating Services

Under laws operating in all 50 U.S. states, any person or entity that plans to perform excavation activities, whether for new construction, remodeling, alteration or repair work, is required to have underground infrastructure located and marked prior to excavating. Locating entails consultation of utility maps, as well as electronic sweeping of an area to locate and identify any type of power, gas, sewer, cable, telecom or water infrastructure buried in the ground. The located infrastructure is then marked with flags and/or paint on the ground, according to an official color coding system.

The chain of events leading to a locate begins with notification to the regional one-call office, by an entity that is planning excavation activities. The regional one-call center is then responsible for notifying all the owners of infrastructure located on or near that site that an entity is planning excavation activity. All infrastructure owners are required to have the infrastructure located and marked according to regulations, prior to the digging activity being undertaken by the notifying party.

This notification may go to the infrastructure owner, or it may go directly to the third party contractor that the utility has designated for locating services, such as CUS.

CUS Historical Locate Volume



Other Services

CUS generates the majority of its revenue from its locating services, and forecasts this segment to remain the largest component of the business going forward. However, the Company also generates revenue from several other business lines, which represent attractive avenues for growth.

One-Call Services. The Company's one-call services subsidiary, Great Plains One Call, exclusively manages the receipt and transmission of requests for underground locating services for the state of Nebraska. The call center personnel include one manager, two supervisors and 20 operators that staff the center 24/7/365. Ticket volume for Great Plains One Call has grown from 924,662 in 1996 to over 1.4 million in 2006, a compound annual growth rate of 4.4 percent (October to December 2006 estimated). These figures, in addition to anecdotal evidence compiled from other regional one-call centers, indicate steady mid-single digit growth rates for the industry. GPOC is also a significant profitability engine for CUS with EBITDA of approximately \$850,000 (51 percent) in 2005, and \$541,000 (43 percent) in YTD 2006, (this lower margin is due to reallocation of certain employees from GPLS to GPOC in 2006.) The company was recently awarded the contract for Nebraska for an additional four years beyond the current contract expiration in October 2007.

Damage and Claims Management Services. CUS's Damage and Claims Management Services group helps organizations reduce third party damages and increase cost recovery through the Company's existing field investigation and collection capabilities. CUS provides a complete solution from the field work through the recovery of costs. There is no dedicated headcount to this service, which is accomplished through extending the reusable capability of its existing field and back office processes and staff. The combined offering provides:

- On-site investigation of damaged facilities;
- Automated capture of damage investigation supporting documentation;
- Professional research and analysis to determine the "at fault" party; and,
- Invoicing and collection processes for cost recovery.

The Company validated this business model with a pilot customer in Virginia during 2006 and is finalizing a contract with a client in Kansas which will bring approximately \$175,000 in claims receivables under CUS management in 2007. The claims management contracts renew automatically each year in perpetuity until terminated. While this business line has been in the germination process during 2006, Management believes there is significant growth potential for this service through both increased internal emphasis as well as through acquisitions. Within the estimated \$300 million market for this service most of this activity is performed in-house by the entity whose infrastructure has been damaged. However, due to the same pressures that are driving increased outsourcing of locating activities, Management believes an increasing number of companies in the utility, telecom and cable industries will seek to outsource damage and claims management as well. Additionally, there exist today a small number of other entities that perform this service as a third party contractor, which are potential acquisition candidates.

Audit and Compliance Services. The Audit and Compliance Services group provides professional field survey solutions to capture accurate information concerning the condition of utility distribution assets. The field audit process can assist in optimizing joint use scenarios, identifying non-compliant installation situations, and capturing assets not currently within the existing tracking systems. The full service offering includes:

- Design and planning procedures for effective data capture;
- Integrated hardware and software partnerships to increase productivity in the field;
- Quality control procedures to ensure the accuracy of the field survey data;
- Equipment and personnel for a full outsourced solution.

The Company currently has one contract in place for pole audit services in the Canadian province of Ontario, which will provide revenue of approximately \$780,000 in 2007. The project is staffed with one contract project manager and 6 field personnel. Management estimates that approximately 24 million pole audits are required in the U.S. each year, indicating a potential market size for pole auditing services of \$360 million (see Industry Overview for more detail).

The Audit and Compliance Services group currently performs only pole audit services, however there is the potential to add several other services aimed at the surveying and auditing of utility, telecom and cable infrastructure. Most of the industries encompassed in CUS's customer base are required by law to provide some assurance to regulatory bodies of the compliance of their field assets with laws and regulations. These regulations provide a regular, recurring demand for audit and survey services which CUS intends to provide.

Operations

Field Activities

The Company delivers its services through a highly trained workforce typically consisting of between 500 and 800 field personnel around North America, depending on the season. Each of the Company's locators is typically equipped with a vehicle, locating instruments, a laptop computer, and communication devices such as a cell phone, pager, or two-way radio. Locators also have assorted traffic and safety equipment. Currently the cost to equip one locator ranges from \$14,000 to \$17,000. The Company typically purchases the equipment, computers and trucks, and is in the process of transitioning from

reliance on light-duty pickup trucks, typical in the industry, to less expensive and more fuel efficient economy hatchbacks, such as the Chevy Aveo. (See Financial Performance section for an analysis of the impact of this initiative.)

Below is a summary of the Company's operating districts.

State/Province (based on contracts as of July 2006)	YTD July 2006 Billable Unit Volume	YTD July 2006 Annual Revenue	High/ Low Seasonal Direct Tech Headcount
Territory 1	646,221	\$ 5,983,834	110/90
Territory 2	303,014	2,580,501	55/45
Territory 3	239,028	2,693,723	50/40
Territory 4	105,992	909,297	12/10
Territory 5	140,891	3,725,497	95/35
Territory 6	23,620	353,986	14/5
Territory 7	243,819	3,584,994	90/40
Territory 8	249,945	2,982,199	62/35
Territory 9	56,610	753,994	15/8
Territory 10	312,727	3,578,608	75/45
Territory 11	65,527	1,112,888	28/8
Territory 12	10,393	1,115,176	31/20
Territory 13	177,253	1,846,127	42/35
Territory 14	115,417	1,150,161	28/22
Totals*	2,690,457	\$ 32,370,985	713/444

* Does not include Colorado (discontinued). West Virginia, Wisconsin and Wyoming have no dedicated headcount.

CUS's headquarters building in Omaha, Nebraska houses the Company's 25-person corporate staff, which provides the administrative, accounting and operations support for the business. The headquarters facility includes 3,000 square feet of office and 3,000 square feet of storage. The field offices typically have less than 1,000 square feet of office and storage space and about half are not permanently staffed. Field offices usually have larger facilities for storage and maintenance and clerical support, while satellite offices are used primarily as supply depots. Each field office manages between 6 and 120 locators at any given time, depending on the season and the population density of the market. Periodically, the locators re-supply their trucks and check equipment at their field office, although this activity is increasingly accomplished via field delivery by supervisors or forwardly-deployed supply depots.

Work Flow

Subsequent to a one-call center being notified that a party intends to dig in the vicinity of the infrastructure of one of the Company's customers, a request for one or more locates, called a notification, is sent electronically by the relevant one-call center to the Company's headquarters in Omaha, Nebraska, where it is automatically entered into the Company's wireless ticket management system, Ticket Rx. Each ticket is assigned to the appropriate operating district, whereupon it is allocated by the system to the job queue of an available field technician. Field technicians are wirelessly linked to Ticket Rx, and periodically sync by laptop with the system to view their current job queue.

Upon arriving at a job site, the field technician (also called a locator) consults maps provided by the utility customers (paper or electronic maps depending on the utility provider) to gain a general understanding of the location of the utility lines in the vicinity of the job site. The locators then connect a transmitter to the utility,

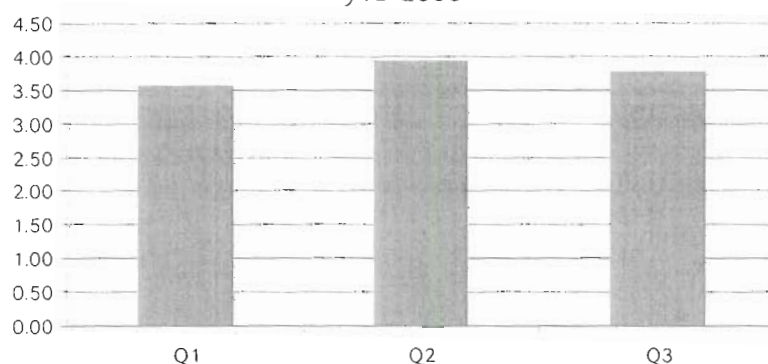
typically at or near the meter, which applies a signal to the utility line. Using a handheld receiver device that emits an audible or visual signal, the tech can then electronically sweep the area indicated by his maps to determine the exact location of the underground utility infrastructure. Finally, the tech paints the ground or places marking flags above the utility line, using the appropriate colors as defined by the below mandated color coding systems. At times, the technician may find that no customer assets are in fact in the affected area. This situation results in a "cleared" ticket, which may become evident to the technician at the site or at the time the notification is dispatched and prior to a physical inspection.

Upon completion of a locate, technicians enter the results of their work into the ticket management system accessed wirelessly and via hard-line connections through laptops in the field. The ticket management system automatically uploads the data to the corporate database and, in states with a positive response requirement, informs the one-call center that the work is complete. This is an improvement over the paper-based and non-wireless systems in place at the beginning of 2005, which required office staff to manually enter work results into separate systems on daily basis. Once techs enter data, the system automatically generates the base information for invoicing customers, which are typically prepared and delivered to customers on a weekly or monthly basis. All information necessary for disciplined, efficient management of the Company is almost instantly available.

RED	Electric Power Lines, Cables, Conduit and Lighting Cables
YELLOW	Gas, Oil, Steam, Petroleum or Gaseous Materials
ORANGE	Communications, Alarm or Signal Lines, Cables or Conduit
BLUE	Potable Water
PURPLE	Reclaimed Water, Irrigation and Slurry Lines
GREEN	Sewer and Drain Lines
PINK	Temporary Survey Markings
WHITE	Proposed Excavation

In general, a locator is capable of performing locates at approximately two to five job sites per hour, depending on the number of locates he/she is performing at a job site and the geographic proximity of successive tickets. The unit of measurement of work performed for the Company is called a Billable Unit (BU), of which there may be several per ticket, one for each piece of infrastructure owned by a different customer. For YTD 2006, the Company has averaged approximately 90,000 billable units per week, or 3.8 billable units per locator hour worked.

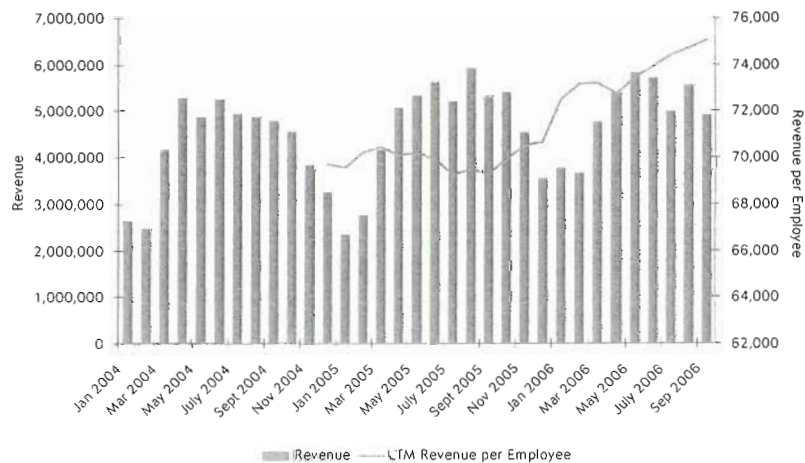
Billable Units Per Hour
YTD 2006



Seasonality

Operational and cost efficiency improvements remain a focus of the Company today as well as into the future. With the use of the nearly real-time reporting capabilities implemented, CUS is able to manage workforce seasonality to a greater degree of precision than it believes many of its competitors achieve. Daily data feedback enables Management to view trends in revenue or ticket volume per employee within specific geographies, and to act accordingly to optimize employee levels quickly. Collaborative efforts on planning for and achieving early peak and trough headcount forecasts are a critical part of its operating model.

Monthly Revenue and Revenue Per Employee



Superior systems and reporting capabilities (including a weekly operations report, payroll period reporting for overtime, average hourly wage, pay changes, and data on new hires) help to keep managers informed about labor costs, the single most important driver of results. The Company's ticket management system, its internal reporting features and its OLAP (Online Analytical Processing tool) by-product also help managers make daily adjustments in ticket load balancing, routing and scheduling. The result of this process has been a steady improvement in revenue per employee, as well as a smoothing of the effects of workforce seasonality, as illustrated in the graph above.

This total tool set helps CUS quickly adjust labor and costs throughout the year. It also helps provide detailed and quantified feedback to employees to help establish specific goals for individual and small group performance in the field.

Ticket Management Process

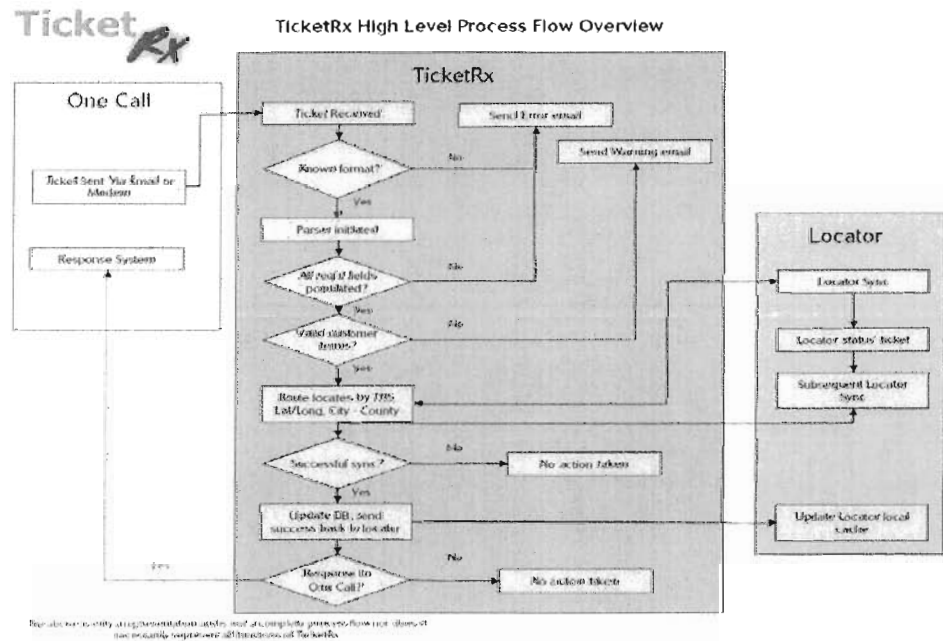
CUS uses a product called Ticket Rx for managing its mobile field workers. Ticket Rx is a complete mobile work management system designed specifically for the utility locating industry. CUS licenses the product from software development group MWM Solutions, and pays a rate of approximately \$1.17 per user per day. There is no setup charge and no minimum contract term.

Ticket Rx receives tickets from one-call centers or directly from utility companies and routes the work to the appropriate locator. It tracks all activity on the tickets and uses this information to provide billing, reports and positive response

notification. The core system runs as a hosted service (ASP model), on servers in the Company's data center with redundant power, air condition, and networking. The system is effectively self sufficient and requires little outside maintenance and support. Field technicians are able to connect remotely to download and schedule their work for the day. Managers can connect and get real-time data about the work being done, to measure productivity, backlogs, and any other pertinent information.

Through the use of wireless communications and data connectivity, CUS operates its field work force with minimal office and associated overhead cost requirements. Field technicians can operate nearly autonomously, by linking to the ticket management system remotely, and by garaging the Company automobiles at their home. Routes to be taken throughout the day in order to complete the list of locates are determined by the individual field technician and home-garaged vehicles and corporate gas card programs minimize unnecessary driving. CUS currently has only 22 field offices and 29 small supply depots around the U.S. and Canada, all of which are leased on terms closely matching the time horizon of existing customer contracts.

Below is an overview of the Ticket Rx process.



Damages and Claims

Damage cost management is an extremely important driver of financial results in the locating industry. CUS believes it is the industry leader in effectively managing damage costs through superior data capture, training, reporting and management. Management spends a considerable amount of time on identifying and eliminating the root causes of at-fault locate damages and at-fault damage expenses.

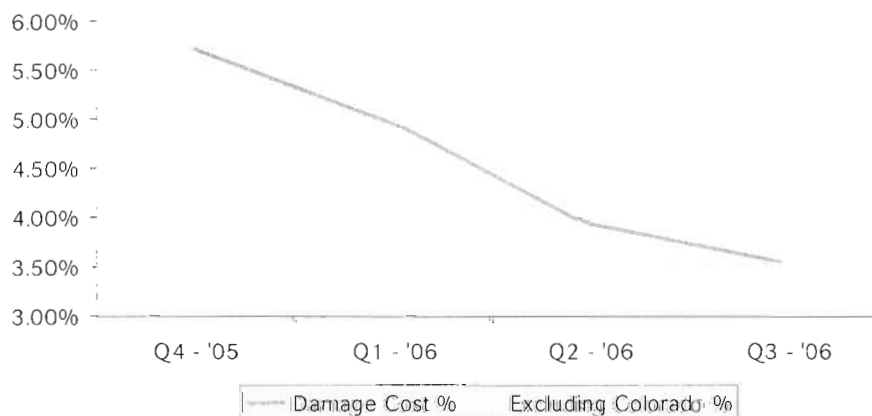
In 2005, the Company was at fault for 1,823 utility damages for a ratio of one damage per 2,566 billed units. CUS has been at fault for 1,463 damages YTD

September 2006 for a ratio of one damage per 2,543 billed units. During the Q4 2005 damage expenses were equivalent to 5.7 percent of revenues including the discontinued Colorado operations, (excluding the Colorado operations, the ratio was 4.5 percent). For the most recent quarter ending September 2006, damage expenses as a percentage of revenue were 3.5 percent. Management seeks to maintain a ratio of less than 4.0 percent.

Consolidated Utility Services, Inc. Damage Comparisons & Ratios For the Nine Months Ended September 30th, 2006					
	Billed Units	Damages	Monthly Ratio	Cumulative YTD Damage	Cumulative YTD Ratio
January	339,309	107	0.315	107	0.315
February	312,350	139	0.445	246	0.377
March	421,975	152	0.360	398	0.371
April	449,953	185	0.411	583	0.383
May	483,436	160	0.331	743	0.370
June	465,055	183	0.394	926	0.375
July	403,228	195	0.484	1,121	0.390
August	452,944	193	0.426	1,314	0.395
September	391,713	149	0.380	1,463	0.393
1 Damage in every 2,543 billed units					

CUS investigates all service interruptions notified by customers. The standard for dispatching a local damage investigator following notification is 4 hours. A field supervisor typically handles routine claims investigations, and a district manager or dedicated regional claims manager handles the investigation in the event of potential claims against high profile / high repair cost facilities. Completion of investigation is typically within 48 hours from notification, and 90 percent of claims are resolved within 30 days. Payment to customers for at-fault claims is within 30 days from the date of receipt of an invoice. However, claims notification and invoicing can stretch as long as 24 months. For this reason, the Company carries adequate damage reserves including those related to IBNR (incurred but not reported) incidents.

Damage Costs as a % of Revenue
Including and Excluding Colorado Operations



Customers

Contracting Principles

Outsourced locating contracts consist of four key metrics:

- Price
- Volume
- Density
- Indemnity for cost of repair (risk)

The combination of these factors determines pricing, of which volume has the least impact on price. The infrastructure density of the area impacts billable-unit pricing significantly. Most contracts include indemnification, but certain utility types experience fewer damages and carry lower risk.

Pricing is per "work unit", or locate. Depending on the complexity of the work, a ticket submitted to a locating company can entail one or more locates. Pricing varies by the type of utility and secondarily by the level of risk and technician productivity. The following chart is broadly illustrative of typical levels:

Type	Risk	Productivity	Price Per Locate
Cable TV	Low	High	\$4.00 - \$7.00
Electric	Medium	Medium	\$6.00 - \$11.00
Telephone	Medium	Low	\$9.00 - \$18.00
Gas	High	High	\$9.00 - \$15.00

Source: CUS Management

Once a contract is awarded, it is exclusive to the provider for a particular region. Billing is performed either weekly, biweekly or monthly. The service level agreement is dictated by the state regulations for the area where work is performed.

Top 10 Customers

CUS enjoys a high-quality and diversified customer base. YTD 2006, its top 10 customers accounted for approximately 53.5 percent of revenue with no customer accounting for more than 9.2 percent. Eight of these top 10 customers have been with CUS for at least six years. In 2005, the top 10 customers accounted for 52.1 percent with its largest customer accounting for 9.6 percent of total revenue.

Consolidated Utility Services, Inc. Year-To-Date Revenue by Customer For the Nine Months Ended September 30th, 2006						
Customer	Q1	Q2	Q3	Total Revenue	% of Total Revenue	# of Years as Customer
1	1,308.6	1,389.8	1,419.1	4,117.5	9.2%	10
2	506.3	1,397.5	1,357.5	3,261.2	7.3%	4
3	746.0	1,227.5	1,129.7	3,103.2	7.0%	6
4	657.9	1,006.4	943.6	2,607.9	5.9%	7
5	347.8	1,095.2	871.0	2,313.9	5.2%	8
6	635.5	771.5	737.3	2,144.3	4.8%	7
7	707.8	652.1	625.3	1,985.1	4.5%	13
8	494.2	593.8	582.9	1,670.9	3.7%	7
9	914.7	376.1	31.5	1,322.3	3.0%	1
10	404.1	447.3	461.4	1,312.9	2.9%	12

Top 10
53.5%



Contracts

Large contracts are often awarded based on bidding processes conducted by the major utility companies. The procurement organizations within the major utility companies may elect to bid contracts as they expire or renew directly with the incumbent vendor. The length of a contract award or renewal can range from one year to five years depending on the preference of the utility plant owner. The Company has contracts with term lengths across this range. Among its top twenty largest customers, the average contract term is approximately 3.2 years. Within this mix are four customers with five year contract terms, fourteen customers with three year contract terms and two customers with one year contract terms. In some instances the Company holds several contracts with a single customer.

CUS has diversified its revenue model by acquiring a significant number of smaller revenue accounts supported under perpetual one year agreements. These customers, referred to by the Company as "footprint accounts", provide increased profitability and very low customer management costs. These smaller accounts would not be profitable on a stand-alone basis, but in combination with larger accounts in the same areas, are very high margin. They currently provide annuity-like revenue of roughly \$4.2 million per year. The accounts in this group are comprised of either contracts in areas with little competitive pressure or those under perpetual one year agreements which renew automatically.

Combining 2005 and 2006 retention results (described in more detail in "Financial Performance") demonstrates that the Company was able to retain \$36.2 million dollars of the \$41.6 million expiring contracts or roughly 87 percent. The Company more than replaced the expired contracts with over \$8 million in new business acquisition and pending growth of over \$3 million prior to the end of the 2006 year. 

Retention Strategy

CUS has a multi-faceted strategy to ensure a high level of customer retention. The first part of the strategy is to create a competitive barrier in each region. Major contract expirations are purposely staggered to avoid multiple contracts renewing together. This strategy forces potential competitors to pursue single-party contracts (which are typically unprofitable) in order to establish a presence in a region that CUS has significant operations.

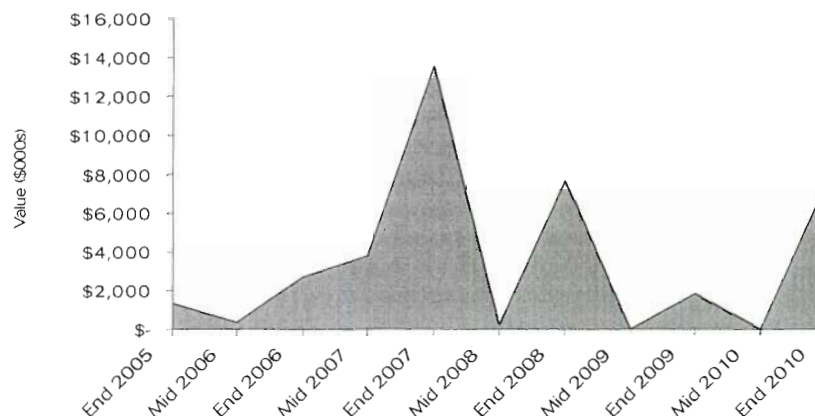
Secondly, approximately six to 12 months prior to the contract expiration, CUS seeks an extension of the contract without a competitive bid cycle. This strategy has, in certain cases, allowed the Company to increase rates marginally with key accounts and to avoid rate reductions or lost business due to a formal competitive bid.

Lastly, CUS utilizes a detailed cost analysis model for bid renewals. This system allows the Company to both forecast profitability and to assess competitive risk in the bid submission process. In some cases, it also identifies renewal accounts that require significant price modifications to achieve profitability and allows the Company to exit contracts which do not meet financial targets.

During 2005, the Company identified a significant lump in potential contract expirations during the second half of 2007. The Company instituted a targeted program focused on conducting direct negotiations with selected customers to

transition revenue expirations more evenly across the upcoming years. To this end, CUS has secured a contractual agreement from a large customer to extend the contract from the end of 2007 to the end of 2009. In addition, the Company has identified a target which, through a similar agreement, would further distribute contract expirations more evenly over the next four years.

Contract Renewals by Half Year



Growth Opportunities

The CUS Sales and Marketing Team has primary responsibility to drive top-line growth. Its three sales professionals work together to devise marketing strategy and drive overall revenue growth efforts. Brian Seaberg, who has fifteen years of relevant experience leads the Sales and Marketing team. The Business Development Manager is in charge of procurement of new contracts and has twelve years of industry experience. The Business Controller oversees the organizational aspect of sales and marketing operations. In addition to its primary objective of procuring the new business for the Company's locating services, the Sales and Marketing team also actively pursues opportunities for the Company's differentiated, higher margin lines of services such as damage and claims management, and audit and compliance services. Mr. Seaberg and the Business Development Manager consistently maintain a dialogue with potential customers with the goal of growing revenue from these additional services.

The Company's strategy for growth includes the following.

Continue Adding New Locating Contracts Through Three Primary Avenues:

1. Layer Additional Contracts onto Existing Operational Infrastructure. The support requirements for major locating contracts, defined by CUS as those over \$1 million in size, require staffing and equipment to cover significant geographic areas. The client revenue generated by a sole contract in a given area tends to generate fairly low margins due to the high costs for the infrastructure and staff to cover a region. Additional contracts within an area where the costs already reside provide for improved margins as underlying asset expenses are distributed across a larger revenue stream. Due to the low investment requirements for additional infrastructure, layered core services contracts provide incremental gross and net margin improvements across the service territories. Below is a chart illustrating the effect of multiple contracts layered upon the same operational infrastructure.

Illustrative Contract Layering Analysis Performance of Stand Alone vs Multiple Layered Contracts							
	Incremental Revenue	Cumulative Revenue	Direct Labor	SG&A and Other Costs	Total Direct Costs	EBITDA	EBITDA Margin
Contract 1 - Stand alone	\$3,100	\$3,100	\$1,554	\$1,518	\$3,072	\$28	0.9%
Contract 2 - Layered	1,040	4,140	1,966	1,700	3,666	474	11.4%
Contract 3 - Layered	682	4,822	2,145	1,800	3,945	877	18.2%

CUS dedicates business development resources to growing the revenue that is supported by its current asset base. Layering contracts are acquired primarily through a directly negotiated process (as opposed to bid cycles), resulting in negotiated pricing and terms that are more favorable than the major contracts. CUS targets 3 percent growth in layering of core services contracts each year.

2. Leverage Current Relationships to Add Volume in Adjacent Geographic Areas. Utility plant owner mergers, divestitures, and reorganizations have created a large number of geographic "pockets" where core services contracts are not aligned with other utility owners in the same geographic area. The cost of providing services in these fringe services areas may be higher and less competitive for the company with the largest part of the footprint. As a result, often times the utility owner either performs the work in-house, or the competitor that services the region has difficulty meeting the service levels. With the broad combined client base of GPLS and ProMark, CUS is able to leverage existing core service contracts to expand into these fringe areas that are less profitable for competitors, particularly where they are adjacent to its own service areas, and increase volume with existing contracts. In some cases, the Company's opportunity arises when utility plant owners express interest in reducing their vendor pool. CUS has also expanded with clients where the Company's service levels in the areas of quality and on-time performance are significantly better than an adjacent provider.

3. Build Business with New and Existing Customers in Non-Contiguous Geographic Areas. As the utility market place continues to consolidate, CUS's ability to deliver nationwide coverage provides the breadth and depth to pursue large multi-state contracts. Because the Company is an active vendor for these major plant owners, it garners visibility to additional territory on a continual basis as its existing customer's contracts reach expiration in these non-contiguous geographies.

CUS is registered with the procurement organizations of all major utility and telecommunications owners throughout the U.S. In combination with opportunities to expand the Company's geography with existing clients, CUS pursues new client contracts in non-contiguous geographic areas on an opportunistic basis. Management develops profitability models for territory expansion and submits pricing to allow for positive EBITDA contributions over the initial 12 month period for new market areas.

Market and Sell Additional Products and Services with Intellectual Property Components and/or Residual Value for Customers

The Company employs a large distributed labor force that, in addition to locating, provides additional products and services for the utility services market. Utility plant owners require continuous and ongoing field activity to support regulatory compliance testing, GIS and mapping verifications, asset management auditing, damage investigations, joint use analysis and a host of other requirements, which CUS is capable of providing in a more efficient manner.



As distinct from locating, these audit and compliance services require capturing and centralizing information for use in core utility management applications. Similar to locating, these field activities require the logistical capabilities and asset base of a distributed field services organization. CUS is active in several non-locating activities that deliver additional service work. These services require technology and training expertise and thus support increased profitability over its core services offering. CUS has initiated a project for field audit work in the Canadian province of Ontario. The Company is also actively pursuing other auditing and non-locating service work throughout its footprint.

The Company has also established a business line for damage and claims management services, but has put little emphasis to date on developing this business. The same internal staff that handles CUS's own internal damage claims currently provides this service to customers and as such the Company requires no additional staffing, training or systems to support the current volume of third-party claims. Management believes that this service is an excellent growth opportunity due to the desire of its customers to outsource such non-core activities, and due to the redundancy of this service to its own existing internal processes.

While each of these activities have been a relatively low priority for the Company during its period of integration in the last two years, Management believes that such services have the potential to add significant top-line growth at attractive margins over the next several years. These services are already established business lines for the Company, albeit currently on a relatively small scale. Some of the services are also established business lines for other entities, which may represent acquisition candidates.

Pursue Additional Add-On Acquisitions

Five major players dominate the underground locating industry. CUS is watchful for niche opportunities to either acquire assets or organizations within the locating industry that support its margin returns and deliver accretive earnings. CUS's Management has significant experience in buying smaller players such as ProMark and Great Plains and integrating them. The alternate services market segment is still highly fragmented, and presents additional opportunities for acquisition.

CUS has several partnerships with technology and service providers for non-locating operations. The Company is utilizing these relationships tactically to identify and pursue alternate service opportunities. If conditions support the targeted growth and margin requirements, CUS will consider the acquisition of organizations that increase the quality and value of its alternate services strategy.

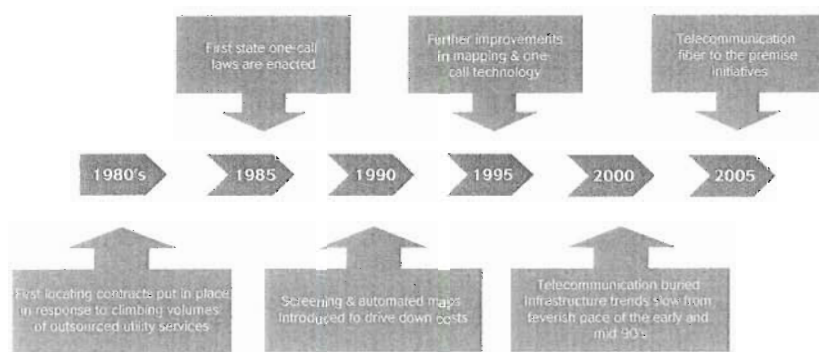




3. INDUSTRY OVERVIEW

Development of the Industry

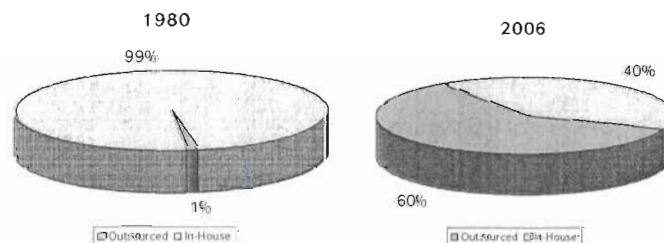
The outsourced locating industry emerged during the 1980s with the formation of a number of small companies operating principally on a local or single-state basis. Industry growth accelerated in the early 90s with the one-call notification systems established in an effort to facilitate state and local regulations concerning excavation. One-call centers were designed to manage the information required to ensure safe excavation. The implementation of these centers drastically reduced the time frames for connecting excavators and underground asset owners. Industry growth in the 90s was driven by the increased awareness through regulations and initiatives, such as the "call before you dig" program, as well as telecommunication companies burying a significant portion of the previously above-ground infrastructure. The increase in telecommunication infrastructure upgrades and maintenance was brought upon by the connectivity and internet boom.



The primary growth drivers in the locating industry are:

- infrastructure activity, both private-sector and publicly financed, across the cable, telecommunications, water sewer, gas, and electricity industries, as well as commercial, industrial and residential construction, and consisting of both new investment (such as "last mile" infrastructure "fiber to the premises" initiatives) and maintenance projects;
- utility and communication companies continuing to outsource non-core activities (such as locating);
- mandates to bury infrastructure for aesthetic, safety, insurance and/or environmental reasons.

The charts below outline the increased trend for the outsourcing of underground damage prevention services. Management estimates that the outsourced portion of the business will continue to grow.



Source: CUS Management

The underground damage prevention industry is a subset of the utility services industry, which in turn is broadly correlated with the overall construction industry.

North American Infrastructure Investment

The \$1.2 trillion U.S. construction market has continued to exhibit healthy growth rates, with 4.4 percent growth from August 2005 to August 2006. Year-over-Year construction trends also point to a sharp increase in utility and transportation-related expenditures, significant sources of locating demand. Growth in this sector comes from both the private and public sectors, with the former up 29.7 percent and the latter up 13.5 percent over the same period.

The table below shows recent data on the overall size of the infrastructure construction market, plus sub-set data which drives revenue streams for utility locating companies.

Type of Construction (\$MM):	Year to Aug 2006	% of Total Construction	% of Non-Residential	% of U & T Related
Total Construction	\$1,200,686			
Residential	625,615	52.1%		
Nonresidential	575,071	47.9%		
Non-Utility and Transportation Related	376,782	31.4%	65.5%	
Utility and Transportation Related	198,289	16.5%	34.5%	
Water supply	13,074	1.1%	2.3%	6.6%
Communication	15,375	1.3%	2.7%	7.8%
Sewage and waste disposal	19,231	1.6%	3.3%	9.7%
Transportation	29,967	2.5%	5.2%	15.1%
Power	42,288	3.5%	7.4%	21.3%
Highway and street	78,354	6.5%	13.6%	39.5%

Source: U.S. Census

Utility Services Industry

The utility services industry is largely driven by infrastructure development and maintenance spending as well as by the trend in utility and telecommunications industries to improve operating efficiencies by outsourcing non-core competencies. Specifically, the continued upgrading of underground infrastructures especially by telecom and MSO (multi-service operator) companies provides a large impetus for third party locating services.

Currently, there are a significant number of service providers focused on selling services to the utilities and telecommunications industries. These companies range in size from sole proprietorships to the combined operations of holding companies that generate over \$1 billion in annualized revenue. However, the great majority of companies providing utility services are smaller than \$10 million in annualized revenue.

The utility services market can be broken down into Labor Based Service Providers, Technology Based Service Providers and Blended Service Providers. The businesses that are most related to CUS's service offering generally fall under the category of Labor Based Service Providers, including: construction/engineering firms, vegetation management, survey/inspection, manual/automated meter reading, one-call centers and risk management services.

Underground Utility Damage Prevention Industry

The North American underground utility damage prevention market is a growing sector within the utility services industry and includes: (i) field locating, (ii) notification, (iii) damage / claims management, and (iv) audit and compliance.

Utilities increasingly outsource these activities as part of an ongoing effort to focus on core competencies and streamline non-revenue producing and non-customer facing activities. As this trend continues, the industry will likely experience a continued increase in the portion of underground damage prevention services that are outsourced.

In addition to the trend toward increased outsourcing by utility and telecom companies, the sources of demand for damage prevention services are driven and ultimately related to three factors, namely population growth, upgrades in infrastructures and the rising amount of infrastructure per capita. The U.S. added 100 million people in the past 39 years and recently topped 300 million people. According to government estimates, the country will add another 100 million people by 2040. This increase, coupled with rising wealth and the correlated increase in infrastructure per capita will provide impetus for enormous infrastructure upheaval in the future, driving demand for damage prevention services. Some of the specific industry demand drivers are briefly reviewed below.

U.S. Construction Market

The \$1.2 trillion U.S. construction market has continued to exhibit healthy growth rates, and construction spending is forecasted to exhibit strong growth again in 2007, with an anticipated increase of 6.3 percent. Non-residential building and heavy engineering will account for a significant portion of the increase in spending, generating 12.3 and 12.6 percent growth, respectively. New residential build spending is expected to decrease by 1.7 percent, but this drop will be buoyed by a 10.6 percent increase in residential improvements, ultimately resulting in 1.3 percent increase in total residential construction spending.

Locating demand is not significantly correlated to the construction of new buildings and homes. Locating requests result from any excavation activity that creates the possibility for underground infrastructure damage. In addition to general construction activities, there are several significant near-term infrastructure development trends that will provide long-term support for growth in locating demand, mostly related to the increased infrastructure requirements resulting from the addition of 100 million people in the U.S. over the next 30-35 years. A few of these developments are detailed below, and include such initiatives as telecommunication and cable companies building out vast underground networks, the upgrade of the U.S. electrical power grid consisting of 160,000 miles of transmission lines, continued increased transportation infrastructure spending and the overhaul of aging water infrastructure.

U.S. Telco / MSO Companies – Continued Network Buildouts

The telecommunication industry's FTTP (fiber-to-the-premise) initiatives expand the range of services and applications delivered to residential and business end-users. For example, Verizon Communications, AT&T and Bellsouth have implemented aggressive network infrastructure buildouts that entail large expenditures over multiple years. Verizon Communications is in the midst of a six year, \$23 billion fiber-optic network improvement in an effort to expand the delivery of TV and super-high-speed internet services. AT&T, over the next four years will spend approximately \$5 billion in an effort to pass 18 million homes. BellSouth, who has entered into merger agreement with AT&T, implemented a \$6 billion initiative aimed to push its fiber to the curb initiatives. Morgan Keegan research estimates that U.S. telecom companies will spend approximately \$25 billion in capital expenditures in 2006, with mid to low single digit growth in 2007. Industry professionals expect approximately \$200 billion in capital expenditures required to maintain and modernize infrastructure over the next eight to 10 years.

Cable TV Operators – Continued Network Buildouts

With telecom companies entering the home media market, the cable industry has been challenged to support a sophisticated interactive environment that includes video, internet, information, telephony options, and a host of interactive services. To meet the challenge of increasing competition, broadband network operators must ensure quality and reliability while expanding their services. From 1996 to 2005, cable operators spent on average, \$9.6 billion on infrastructure maintenance and upgrades. However, in order to further enhance and update its infrastructures cable companies are expected to employ significant amounts of capital over the next five to eight years. As evidence of this trend, the National Cable and Telecommunications Association estimates \$11.1 billion of infrastructure spending in 2006 for the cable industry, representing a near 17 percent increase YoY. Recent cable industry reports have highlighted the need for existing cable operators to drive node segmentation from an average today in excess of 750 homes per node to less than 36 homes per node, which would potentially require installation of approximately three to five times the amount of existing nodes, as well as the corollary fiber and cable. A material portion of this capital relates to underground infrastructure. Going forward, increases in services provided by U.S. telecom companies as described above represent a significant competitive pressure to the cable industry. This pressure combined with customer demands for increased bandwidth and services will drive continued capital spending by the cable industry over the next several years.

Power – Upgrades are imminent

In 2003, the most recent year for which complete data are available, the total U.S. net generation of electricity rose slightly to 3.9 billion kilowatt hours. To distribute that power, the U.S. electric transmission grid consists of nearly 160,000 miles of high-voltage (230 kilovolts and greater) transmission lines. In 1999, America's electric utilities spent more than \$3 billion maintaining and operating these links to customers, and \$2.3 billion on construction expenditures (including replacements, additions and improvements). Despite these investments, the state of the grid remains a cause for deep concern among experts. The CECA (Consumer Energy Council of America) noted that investment in the transmission grid was at a low of \$83 million per year from 1975 to 1999. However, it increased to \$286 million annually from 1999 through 2003 and investment in transmission lines during the next 10 years is expected to be \$3 billion to \$4 billion per year.

Transportation

A 2004 U.S. Department of Transportation (DOT) study prepared for Congress found that urban road and highway pavement conditions are likely to worsen at current funding levels. The DOT study estimates that the annual investment needed to maintain urban roads and highways in their current condition is \$15.6 billion annually. Required annual investment to improve the condition of urban roads and highways is \$19.3 billion annually.

The DOT study found that keeping urban roadways in their current condition would require a 40 percent increase in annual funding. Improving the physical condition of urban roadways would require a 73 percent increase in annual funding. To this end, in August of 2006, President Bush signed into law a \$286 billion transportation legislation to fund road and mass transit construction projects for six years, the largest transportation funding bill in history.



For the first time since World War II, limited rail capacity has created significant chokepoints and delays within the national rail network. This problem will increase, as freight rail tonnage is expected to increase at least 50 percent by 2020 (Bureau of Transportation Statistics, Transportation Statistics Annual Report, September 2004). In addition, the use of rail track for inter-city passenger and commuter rail service is increasingly being recognized as a worthwhile transportation investment. Congestion relief, improved safety, environmental and economic development benefits create a good rationale for public sector investment. To simply maintain the current share of freight carried, and anticipated increase in total freight carried, railroads would require \$175 billion to \$195 billion in investments over the next 20 years, according to the American Society of Civil Engineers. Expansion of the railroad network to develop intercity corridor passenger rail service is estimated to be cost approximately \$60 billion over 20 years. All told, rail investment needs are \$12 - \$13 billion per year.

Water

Aging wastewater management systems discharge billions of gallons of untreated sewage into surface waters, and decrepit systems lose huge amounts of fresh water through leakage each year. The EPA estimates that the U.S. must invest \$390 billion over the next 20 years to replace existing and build new systems to meet increasing demands as a result in the rise in population. Currently, the federal government has invested more than \$72 billion in the construction of publicly owned sewage treatment works (POTWs) and related facilities. An additional investment of \$181 billion for all types of sewage treatment projects eligible for funding under the Clean Water Act in 1972 is required, according to the EPA. Several municipalities have unveiled massive water infrastructure projects. Atlanta, for example, has instituted the *Clean Water Atlanta* program, which it will spend over \$3.8 billion through 2014 to overhaul its water and sewer systems. A similar project has been initiated in Tampa, Florida, where the city will spend the next five years revamping its storm water facilities to ameliorate its flood problems. Further, across the southeastern coastal regions, hurricane risk mitigation efforts are driving all types of new and existing utility and telecom infrastructure underground.

Field Locating

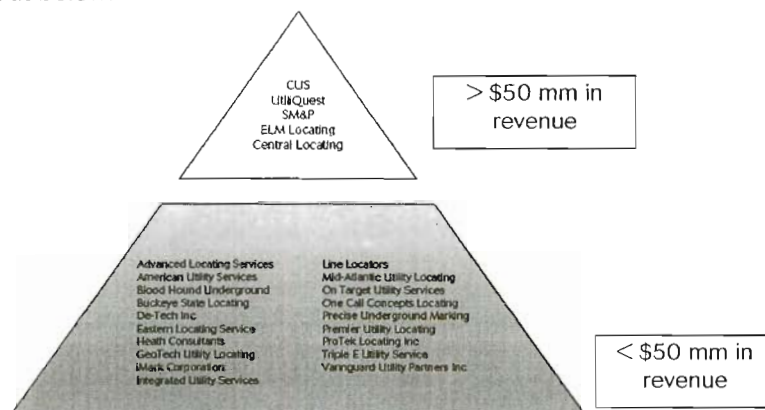
Size

The field locating market represents nearly \$1.2 billion (86 percent) of the current \$1.4 billion underground utility damage prevention industry. Roughly 40 percent of this market is handled in-house (performed by the internal staff of the utility company) and the remainder is outsourced to third parties. A specific company decision whether to outsource is generally related to geographical, historical, and union related issues. There have been cases of some companies moving between each operational strategy or taking different approaches in different regions.

Industry Structure

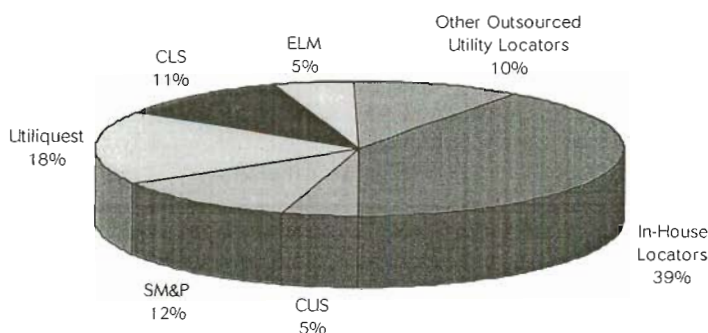
Field locating competitors typically vie for major accounts through competitive bid cycles that award geographic contracts over one to five year contract periods. Highly profitable markets are established for a given locating company when multiple facility contracts are "layered" within a specific geographic region. Smaller contracts can often only be supported profitably where a larger contract service agreement exists in the area. For these reasons, large incumbent players

are difficult to dislodge from territories which they have effectively layered. Management's view of the two tiers of industry participants, excluding in-house locators, is set out below:



The chart below outlines Management's estimate of market share within the overall \$1.2 billion market:

Market Share Analysis



Source: Management estimates, Dycom and Laclede SEC filings

A review of the Company's four major competitors is set out below. All have either large regional footprints or quasi-national operations.

Central Locating Service

Central Locating Service operates as the utility locating company within UtiliCon Solutions, Ltd., which is a broad portfolio of utility industry service companies. UtiliCon is a subsidiary of privately-held Asplundh Tree Expert Co. CLS generated approximately \$128 million in revenue during 2005, primarily operating in the Mid-Atlantic, Mid-West and Western regions of the U.S.

ELM Locating and Utility Services

ELM Locating and Utility Services is a subsidiary of ELM Enterprises, LLC, a provider of environmental risk and related management consulting services. CUS estimates that ELM generated approximately \$50-60 million from its locating

related operations in 2005. ELM operates throughout the Midwest and Western regions of the U.S.

SM&P

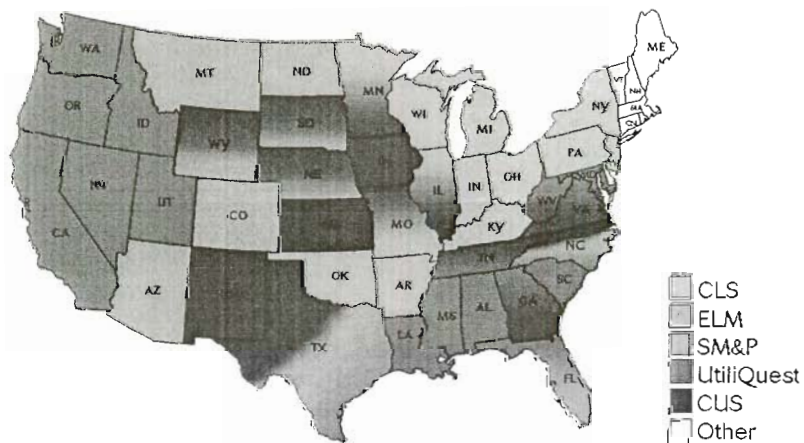
SM&P is a subsidiary of the Laclede Group, a publicly traded natural gas distribution company located in Missouri. SM&P produced 2005 locating revenue of approximately \$140 million. SM&P's operations extend from the upper Midwest through Texas.

UtiliQuest

UtiliQuest is a subsidiary of Dycom Industries, Inc., a publicly traded company whose main business is the provision of telecommunications contracting services. UtiliQuest operates in the Mid-Atlantic, Southeast, Southwest and Western regions of the U.S. with revenue of roughly \$212 million.

The map below illustrates the approximate geographic presence in the U.S. of the top five industry participants. The distribution of colors within the state is not intended to indicate the specific regions where each company operates.

Competitive Map



Ancillary Services

Notification

The North American one-call market consists of 62 call centers spread across the U.S and 5 in Canada. One-call operations run independently from the locate services and manage the collection of dig requests and the corresponding routing of work orders (notifications) to the field locating operations. Rather than having to notify each utility individually, an excavator (or homeowner) will contact the one-call center, which will record the precise time and location of the proposed excavation in what is known as a "ticket." The one-call centers then submit the tickets to the party responsible for performing the locate, either the local utility itself or an outsourced locating company. Larger one-call centers can generate in excess of \$5 million in annual revenue, while some smaller centers generate \$1 million or less in annual revenue. The total North American one-call market is roughly \$120 million.



CUS participates in this market via its Great Plains One Call operations. One-call operations are awarded by state or sub-state region, and changes to stewardship occur fairly rarely. CUS is a very small player in this market with less than a 2 percent (\$2 million) market share.

Damages and Claims Management

Damage / Claims Management is the process of (i) investigating the cause of the damage, (ii) generating the reports that describe the organization at fault and the corresponding claim request and (iii) collection of the claim in full or a negotiated amount. This service aims to reduce third party damages and increase cost recovery for organizations that do not have robust systems and operations for this purpose, by utilizing the resources of a company with domain expertise.

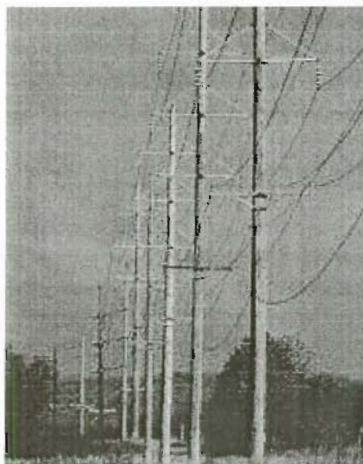
Claims Management - Market Size Estimate	
<i>General Assumptions:</i> CUS claims are comparable to the broader market as a percentage of revenue Contractor "at fault" damages are from 5 to 8 times greater	
3rd Party "At Fault" Damages	Total Damage Cost
CUS	\$ 2.0
Utiliquest	7.4
SM&P	6.0
CLS	4.9
ELM	2.3
All others	5.3
Total 3rd Party At Fault Damages	\$ 27.7
Total 3rd Party "At Fault" Damages	\$ 27.7
In-house Locating "At Fault"	\$ 18.3
Total Locator "At Fault"	\$ 46.0
Plus Excavator "At Fault"	\$ 275.7
Total Reported Damages	\$ 321.7
Estimated Unreported - 25%	\$ 80.4
Total Plant Damages	\$ 402.1

As outlined in the above table, CUS Management estimates that approximately \$400 million of damages are caused each year to utility, cable and telecommunication assets. This estimate is generated by using CUS's approximate historical damage rate of 3.5 percent of revenue applied across the rest of the 3rd party locator market. Assuming 60 percent of locating is outsourced, the amount of damages incurred by in-house locators is calculated to be 40 percent of the 3rd party amount. Management estimates that excavators account for an additional six times the amount of locator-caused damages. Finally, based on historical data, it is assumed that an additional 25 percent of damages are unreported.

Based on an assumption that a manager of claims can recoup approximately 75 percent of the underlying claims, Management estimates a potential market size of \$300 million.

Audit and Compliance

Audit and Compliance services provide field survey solutions to capture accurate information concerning the condition of utility distribution assets as required by various local and national regulations. A thorough field audit assists in identifying non-compliant installation situations, optimizing joint use scenarios and can even capture assets not currently within the existing tracking systems. There are several potential services within this general category, including pole auditing, pipe corrosion testing, line sag auditing, and pipeline notification.



Currently the Company has one contract for pole auditing in Canada, however this is a service which Management believes can contribute much greater revenue in the future. Pole auditing, like the other audit and compliance services, is a regular, recurring service demand, driven by local and national laws mandating that companies ensure that the condition of their field assets comply with various regulations. Today in the U.S., there are roughly 120 million utility poles in service (AISI, 2005) which need to be audited on average every five years. At this rate, approximately 24 million pole audits are performed per year. At an estimated cost of approximately \$15 per pole, this indicates a total pole auditing market of approximately \$360 million per year. Although it has not quantified the market opportunity of all audit and compliance services (such as corrosion testing, line sag auditing and pipeline notification), the Company believes the market for these other services are similarly significant.

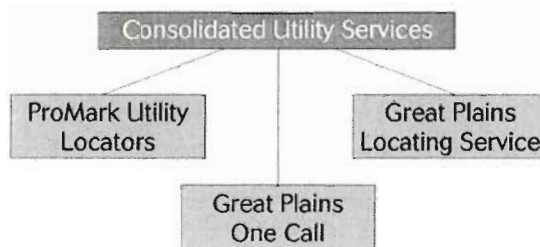




4. CORPORATE STRUCTURE

Corporate Organization

CUS was formed in 2004 as a C corporation. It is the parent company for the acquired assets of Great Plains Locating Services and the stock purchase of ProMark Utility Locators. The ProMark and GPLS acquisitions closed in November 2004 and January 2005 respectively. The operations of both former business are now run jointly and generally without distinction as to brand or legacy of staff. New contracts are increasingly executed under the CUS name.



Ownership

CUS Management, River Associates and American Capital Strategies together control the Company. ACAS is a publicly traded buyout and mezzanine fund (NASDAQ: ACAS) with capital resources of \$8.9 billion. River Associates is a Chattanooga, Tennessee based private equity firm formed in 1989 for the purpose of acquiring companies in the \$10 million to \$50 million enterprise value range. Management's total shareholding is approximately 20 percent on a fully diluted basis. The sellers of the two platform businesses which comprise CUS also retain significant ownership stakes.

Management

CUS's senior Management team shares a unique passion for the business as well as a significant insight into the utility locating industry.

Rob A. Karam – President and Chief Executive Officer: Rob is a co-founder of the Company. As President and Chief Executive Officer of CUS, Rob is primarily responsible for the shape, scope, and velocity of the Company's development. Rob works with the CUS Board of Directors to develop and implement long-range company growth and shareholder value maximization strategies.

As former Chief Executive Officer and President of UtiliQuest LLC, the nation's largest underground utility locating firm, Mr. Karam led the senior management team that quadrupled company earnings and improved market share from third to first during the recessionary period of 2001 through 2002.

The divestiture of UtiliQuest by its owner, GFI Energy Ventures, LLC, in late 2003, led to the largest valuation in industry history, and a greater than 200 percent return on shareholder equity in 27 months of ownership. Rob was instrumental in fueling that company's growth through leadership of multiple M&A due diligence and integration exercises, including the integration of a \$23 million competitor. In the first 90 days following acquisition, he made changes to processes and staffing that created over \$2.2 million in organizational synergies.

Rob was also former President of Advanced Management Services, a management consulting firm focused on delivering pragmatic solutions to executives faced with strategy and operational execution issues in the manufacturing and distribution industries. Rob has held numerous other leadership positions with some of the premier operations implementation firms in the world, including North American Director of Operations for GPR Dehler and Director, Supply Chain Business Unit for The Highland Group. Notable clients include Trans World Airways, ASA Airlines,

Atlantic Richfield, Rayovac, R.P. Schering, Osmose, and Enron Principal Investments Group. Rob holds a Bachelor's degree in Industrial Management from the Georgia Institute of Technology.

Brian R. Johnson – Vice President and Chief Operating Officer. Brian worked with Rob Karam, ACAS and River to co-found the Company in 2004. As Vice President and Chief Operating Officer of CUS, Brian's responsibilities include ultimate P&L responsibility for operations, operations support, quality and corporate IT services. Brian has 10 direct reports who manage approximately 800 field and field support employees in 24 locations in 15 states and two offices in Alberta, Canada. Brian is the executive responsible for development and execution of the Company's operating structure and all key work processes.

As former Senior Vice President, Operations for UtiliQuest LLC, Brian led the design, development and implementation of an industry-changing wireless ticket management system. The system was the first broadly deployed and commercially developed application of its type in the industry, and served as the touchstone that led to all companies of significance adopting this type of application over the past five years.

Brian has over 14 years of experience in developing and implementing operational process improvements, process engineering solutions and strategic concepts for companies in the manufacturing, financial services, software development and energy industries. Brian worked together with Rob Karam as Vice President, Marketing for GPR Dehler North America. Notable consulting engagements include work with Equitable Bag, Poulan Weed Eater, Rayovac, ARCO Pipeline, AXA Advisors and Infrasource.

Brian holds a Bachelor's degree in English Writing with an Emphasis in Business from Florida State University. He holds a Masters of Science in Business Administration from Boston University.

Michael Johnson – Chief Financial Officer. Mr. Johnson joined CUS in 2005 as its Chief Financial Officer. Mike and his staff are fully responsible for producing accurate, timely and well-explained financial statements and financial analysis, as well as providing operations and administrative support to the field organization.

Prior to joining CUS as its CFO, Mr. Johnson served as the Chief Financial Officer for Integrated Distribution Solutions, LLC., a provider of comprehensive and fully integrated enterprise software solutions to the food and consumer goods distribution industry. While at IDS, Mike was instrumental in the integration of two significant acquisitions, identified and implemented several process improvement initiatives and played a key role in the planned sale of the company to Retalix Ltd in early 2005.

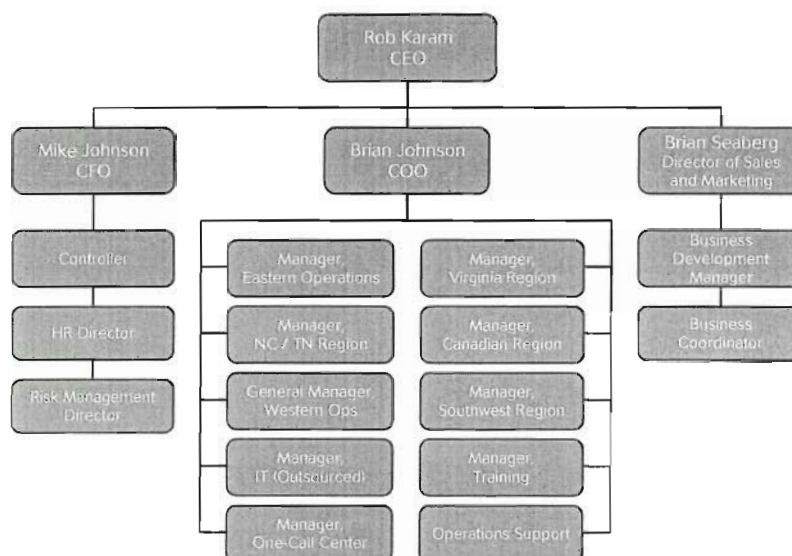
Prior to his tenure at Integrated Distribution Services, LLC, he spent five years in public accounting where he was an audit supervisor focusing primarily on manufacturing and distribution clients. Mr. Johnson was previously a machine gunner in the U.S. Marine Corps. In addition, he successfully founded, developed and sold a local contracting business.

Mr. Johnson holds a bachelor's degree in Accounting from the University of Nebraska where he graduated Magna Cum Laude. Mr. Johnson is a Certified Public Accountant.

Brian Seaberg – Director of Sales and Marketing. Brian Seaberg joined CUS in early 2005. During the first full year as a combined organization, Brian's team helped the Company achieve \$12 million in revenue growth and extended contracting relationships with value in excess of \$15 million. He is tasked with developing the diversification strategies for leveraging technology within the CUS umbrella

Prior to joining CUS, Brian spent fifteen years in a variety of sales roles both as a direct contributor and in regional management in the high technology market segment. At ProClarity Corporation (now an operating company under Microsoft Corporation), Mr. Seaberg grew revenue by 600 percent as a direct contributor and as Regional Director built an Eastern regional sales organization that delivered 50 percent quarter over quarter revenue growth for six consecutive quarters. Brian holds a Bachelor's degree in Computer Science from Florida State University.

The Company's Management team structure is shown below:



Employees

As of September 30, 2006, the Company employed approximately 734 employees. Due to the seasonal nature of the business, the number of employees fluctuates between low 700's and mid 800's during the year. A detailed account of employment by function is provided in the table below:

Consolidated Utility Services 2006 Headcounts by Position									
	Jan-06	Feb-06	Mar-06	Apr-06	May-06	Jun-06	Jul-06	Aug-06	Sep-06
Locating	639	697	729	778	726	736	723	715	676
Ancillary	21	23	21	22	21	21	20	21	20
Corporate	41	40	40	39	37	40	38	39	38
Total	701	760	790	839	784	797	781	775	734

Note: Above headcounts are as of the last payroll period each month.

Technicians are compensated on an hourly basis with a companywide base hourly wage of \$14.25/h. In addition to bonus and training programs, employees are entitled to health / vision / dental insurance, life insurance, short-term and long-term disability insurance, and a 401k retirement plan (there is a discretionary match that the Company can elect to make at the end of each fiscal year).

On average, locators tend to stay with the Company for 2-4 years, although there is significant variation by geography. More senior staff tend to stay with the Company longer. Seasonality plays a role in longevity as well.

District	Tenure (Years)						
	Exec	RM/DM	Office Salary	Office Hrly	Sups	Locators	Overall
State 1	N/A	15.85	N/A	N/A	6.75	3.20	3.65
State 2	N/A	4.44	N/A	5.04	3.62	1.94	2.27
State 3	N/A	10.39	N/A	0.85	10.57	2.70	3.42
State 4	N/A	3.38	N/A	N/A	2.14	2.32	2.38
State 5	N/A	2.16	0.51	1.42	2.60	1.34	1.43
State 6	N/A	N/A	N/A	N/A	13.03	4.59	6.27
State 7	N/A	8.21	7.59	2.51	5.48	4.04	4.30
State 8	N/A	3.47	N/A	N/A	3.44	2.50	2.57
State 9	N/A	N/A	N/A	0.82	1.16	0.51	0.56
State 10	N/A	1.44	N/A	N/A	1.00	0.86	0.91
State 11	N/A	9.31	7.80	6.34	6.93	2.93	3.50
State 12	N/A	7.41	N/A	6.27	5.10	4.47	4.62
State 13	N/A	N/A	N/A	N/A	N/A	1.82	1.82
State 14	N/A	N/A	N/A	N/A	10.66	2.29	2.85
Corporate	2.57	0.86	1.13	2.74	N/A	N/A	1.97
One Call Center	11.45	N/A	10.77	3.78	N/A	N/A	4.92
Overall	4.05	6.07	3.52	3.14	4.87	2.60	2.91

Management's commitment to acquiring and retaining a quality workforce is exemplified by the training and bonus programs set up for employees. The Company's bonus program is designed to be used to reward employees for maintaining a high level of safety, quality, and performance.

Bonus Programs

There is a bonus plan for Regional and District Managers. To be eligible for bonus, each RM's or DM's district EBITDA must reach at least 90 percent of budget. Each RM or DM is awarded an annual bonus based upon their achievement of budgeted EBITDA results for their region.

Hourly techs are eligible for a Quality Bonus Program which is paid on monthly basis. Bonus calculations are affected by damage costs associated with each individual locator. Locators with damages may not qualify to receive bonus money for the month of the damage. Additional incentive money may be earned and paid at the discretion of the Company. Canada has no bonus plan but does have a piece rate compensation plan made available to qualified techs.

All One-Call center employees can receive quality incentive bonus each month. This bonus is determined based on the quality of calls monitored on a regular basis (at least twice every two weeks). The One-Call Quantity Bonus program is designed to encourage employees to process as many tickets as possible, with as few mistakes as possible, so they can earn more during the "busy season" than during the slower winter months.

Training Program

Management believes that the Company's training program is the most extensive and sophisticated in the industry, and is a large reason for CUS's excellent damage ratios and customer service reputation. Below is a summary of the training program.

New Hires:

Type	Duration	Frequency	Description
Orientation	2 hours	First day of Training	Overview of our locator and safety
Classroom /Field Training	3 weeks	Material is presented daily in each module. All modules feature safety training. There is a dedicated module specific to safety training which is reviewed for an entire day.	During the 3 weeks of classroom training the instructor teaches all new hires the proper way to perform every aspect of their job. Each module presented to the new hires outlines in detail the correct way to do their job in a safe manner.

Employees:

Type	Duration	Frequency	Description
Tailgate Meetings	1 Hour	Weekly	Supervisors meet with all of their employees for weekly updates, locating tips and safety checks.
Crew Safety Meetings	1 hour	Monthly	The field supervisor meets with all of their employees once a month and presents the safety topic supplied by the Regional Safety and Training Coordinator.
Meetings	1 hour	Periodically	Any group meeting that is held throughout the year is taken advantage of by our Safety and Training Coordinator. They address a safety topic that is relevant to a particular trend that they have been seeing in their region.

Field Supervisors:

Type	Duration	Frequency	Description
Seminar	2 Days	Annually	All supervisors are required to attend a two day session every spring on safety and proper procedures.

Coursework

CUS's instruction of basic locator training concepts and techniques is accomplished by presenting information in "Process Order". The learning of modules/objectives are introduced in the exact order the technician performs the locate. The modules are taught in a three-week period in both classroom and field settings.

Module #1: Company Orientation,
Module #2: Overview of Consolidated Utility Services, Inc.,
Module #3: One-Call/Damage Prevention (Historical Perspective),
Module #4: Utility Identification (Visual Observations/Maps),
Module #5: Theory & Tools of Locating,
Module #6: Marking Standards/Documentation,



Module #7: Reading and Understanding Prints,
Module #8: Safe Work Practices and Safety Policy/Procedures,
Module #9: Smith System Driving,
Module #10: Consolidated Utility Services, Inc. Administrative Procedures on Laptops,
Module #11: Sketches/Digital Photos and Locate Documentation,
Module #12: Telephone/CATV,
Module #13: Gas/Electric,
Module #14: Damage Investigation,
Module #15: Field Test,
Module #16: Written Test.

Each Module has a web-based test associated with it that the new employee must pass to move on in the training program.

Before a new employee is hired they go through a testing and interview process to ensure they have the aptitude to work in the industry. The pre-employment test is web-based and assesses the potential new hire's ability to sort numbers and names numerically and alphanumerically, perform simple math, read a map, write clearly and use a computer and associated software. The applicant has to score a minimum of 80 percent to proceed to an interview.

A staff of 10 trainers is regionally based. All locators receive continuing training on an annual basis or as needed, by one of our Regional trainers or supervisors. If any technician receives an at-fault utility damage or a failed audit they are required to review one or more of the Modules and re-test that particular Module. In addition, they will receive follow-up training by the Regional Trainer, Supervisor, or Auditor.

The Company's continuing training also includes weekly safety tailgate sessions, where a locating and safety topics are discussed.

Safety

Safety is an integral part of new locator training and continuing training. The new locator training teaches safe work practices in each module as well as a separate module dedicated exclusively to safety. Weekly tailgate safety meetings are coordinated through the Company's Safety and Training Coordinators in each region with all supervisors, who in turn hold weekly tailgate meetings and monthly safety meeting with all field locators.

CUS's gas locators meet the Department of Transportation Operator Qualification guidelines and compliance is documented using the methods provided by Midwest Energy Association.

Information Technology

The Company's IT architecture is designed for minimum maintenance, a cost effective level of operational uptime and full supportability in its mobile field user environment.

The CUS Corporate Data Center is housed within the same building as its One-Call Center in Omaha, NE. It is fed by multi-honed data and voice networks. The corporate headquarters and the One-Call center are all connected via the redundant fiber paths.

The Company has public servers attached to the redundant Cisco 2900 Series switches that are protected by redundant Cisco PIX 515E hardware. The switches



protect the Company servers from outside attacks as well as controls data input and output to the public internet.

Both office locations share local and long distance calling services. Local service is provided by Cox Communications. Long distance service is provided by Qwest. This system allows for 48 local telephone calls, as well as 24 long distances calls at any one given point in time. Voice mail and call processing are supported via external PC systems.

CUS also backs up its data using Veritas BackupEXEC 10.1 software. Full system backups occur weekly on Saturday, and differential backups are done nightly on tapes. The off-site backup storage contains weekly / monthly / quarterly & yearly tapes at all times.

Domain Name Service (DNS) and email for CUS are handled externally by EasyDNS. A vast majority of tickets from one-call centers are received via email. CUS has installed redundant, clustered email servers dedicated for ticket receipt only.

All critical services and connections are monitored 24/7/365 by redundant sources located in different regions of the U.S. When an outage is experienced traffic is re-routed and e-mail and text messages are sent to the appropriate IT personnel so that they can proactively resolve any issues that may occur.





5. FINANCIAL PERFORMANCE

Summary Financial Results

The following financial review summarizes the Company's historical financial results for fiscal years 2004 through 2005, interim nine months ending September 30 for 2005 and 2006, and the Company's balance sheet as of September 30, 2006. The Company maintains a December 31 year-end for accounting and tax purposes. The financial statements presented in this Memorandum are derived from the audited financial statements for the fiscal year 2005, internal interim statements for the nine months ending 2005 and 2006, and internally projected financial statements for 2006 through 2011. BKD, LLP audited the financial statements for 2005. The historical financial statements of the legacy companies prior to being acquired by CUS were either audited or reviewed by a certified public accounting firm.

Summary Historical & Projected Operating Statistics

(\$ in thousands)

	Historical CYE Dec. 31,		Projected		YTD Period Ended Sept.	
	2004	2005	2006	2007	2005	2006
Revenue	\$50,930	\$55,172	\$ 57,442	\$ 60,526	\$41,640	\$44,578
Direct Labor ¹	20,881	22,554	22,976	23,645	17,048	17,631
Gross Profit	30,049	32,619	34,466	36,881	24,592	26,947
Indirect Labor and Benefits	8,923	7,994	8,192	9,519	6,100	6,332
Communications	1,833	2,093	1,921	1,601	1,564	1,485
Damages	2,000	2,496	2,358	2,394	1,725	1,823
Repairs & Maintenance	1,566	1,568	1,680	1,731	1,164	1,299
Supplies	1,445	1,727	1,843	2,042	1,386	1,424
Insurance	2,079	2,618	2,894	2,713	1,939	2,237
Fuel	2,232	3,003	3,409	3,487	2,239	2,635
Bad Debt Expense	96	75	0	9	53	0
Other	2,928	4,114	3,910	4,310	3,157	3,022
Total SG&A	23,102	25,690	26,206	27,805	19,326	20,258
EBITDA	6,947	6,929	8,260	9,075	5,266	6,690
Adjustments						
Other income/(expense)	(180)	121	252	58	195	227
Adjusted EBITDA	6,767	7,050	8,512	9,133	5,461	6,917
Depreciation & Amortization	2,918	3,999	4,280	4,435	2,421	3,186
Adjusted EBIT	3,849	3,051	4,232	4,698	3,040	3,731
EBIT	4,029	2,930	3,979	4,640	2,845	3,503
Interest	462	1,994	1,981	1,567	1,479	1,466
Taxes	523	160	550	1,000	0	0
Mgmt Fees and Trans Costs	1,593	598	301	300	357	226
Net Income	1,270	300	1,400	1,831	1,205	2,039
Growth Rate Analysis						
Revenue	N/A	8.3%	4.1%	5.4%	6.0%	7.1%
Adjusted EBITDA	N/A	4.2%	20.7%	7.3%	-10.0%	26.7%
Margin Analysis						
Gross Profit	59.0%	59.1%	60.0%	60.9%	59.1%	60.5%
Adjusted EBITDA	13.3%	12.8%	14.8%	15.1%	13.1%	15.5%

⁽¹⁾ Only field labor (techs) are considered COGS; consumable costs are in SG&A



Summary Balance Sheet		(\$ in thousands)	
	Sep-05	Sep-06	
Current Assets			
Cash	\$1,100	\$398	
Trade Accounts Receivable	11,694	9,864	
Inter-Company	0	0	
Prepaid Expenses	847	649	
Deferred Tax Asset - Current	0	37	
Other Current Assets	73	168	
Total Current Assets	13,714	11,116	
Net Fixed Assets	7,286	6,647	
Deferred Tax Asset - Noncurrent	0	211	
Intangible Assets	16,967	15,485	
Total Assets	<u>\$37,967</u>	<u>\$33,458</u>	
Current Liabilities			
Accounts Payable	\$1,070	\$813	
Accrued Expenses	2,581	2,478	
Accrued Damages	1,535	1,874	
Current Portion of Long-Term Debt	4,400	2,158	
Other Current Liabilities	726	310	
Total Current Liabilities	10,313	7,634	
Long Term Liabilities	0	0	
Revolving Line of Credit	4,121	125	
Revolving Line of Credit - Fixed Assets	0	909	
Term Loans	4,424	2,298	
Term Loans - Fixed Assets	0	1,705	
Senior Secured Subordinated Debt	6,500	6,861	
Seller Notes	2,400	2,505	
Total Long Term Liabilities	17,445	14,403	
TOTAL LIABILITIES	27,757	22,037	
Total Equity	10,209	11,422	
Total Liabilities & Equity	<u>\$37,967</u>	<u>\$33,458</u>	

Discussion and Analysis

Upon the acquisition of ProMark and Great Plains Locating Service, the Company was able rapidly to extract over \$0.8 million of clearly defined costs primarily composed of headcount reductions and office rent expense. In addition, over the first full year of ownership the Company implemented a companywide wireless ticket management system and installed a new accounting system giving unprecedented visibility into the daily operations of the business allowing Management to be pro-active in regard to labor management thereby driving better gross margin and overall company profitability despite rising fuel and insurance costs.

Set out below is the quarterly EBITDA budget compared to actuals for January through September 2006, which demonstrates the predictability of earnings.

Consolidated Utility Services, Inc. Adjusted EBITDA Budget vs Actual January - September, 2006				
2006	Actual EBITDA	Budgeted EBITDA	Dollar Difference	Percentage Difference
Q1 2006	635,865	644,504	(8,639)	-1%
Q2 2006	3,275,159	3,130,774	144,385	5%
Q3 2006	3,006,092	2,973,144	32,948	1%
YTD 2006	6,917,116	6,748,422	168,694	2%

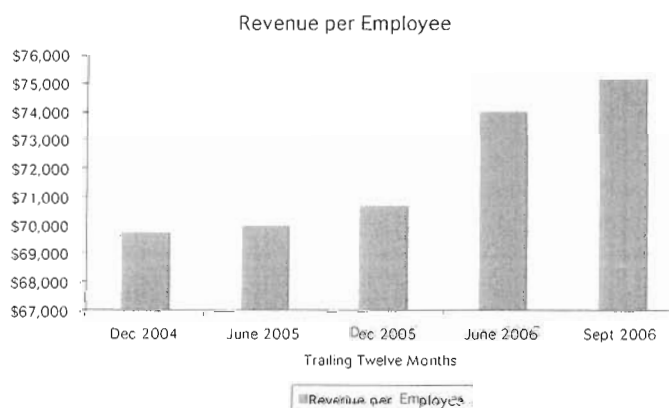


Nine Months Ended September 30, 2006 compared with 2005

For the nine months ended September 30, 2006 the Company reported revenue of \$44.6 million, an increase of 7.1 percent from the same period in 2005. In April 2006 the Company voluntarily terminated its Colorado operations which represented \$1.6 million of 2006 and \$3.3 million of 2005 revenue, respectively, while having a negative EBITDA contribution of \$171k and \$105k in these periods, respectively. In addition to the negative earnings contribution, the primary driver for terminating the Colorado operations was heavy damage cost and liability assessment to CUS from its core customer which accounted for \$192k or 10 percent of YTD September 2006 damage expense while only contributing 4 percent of Company revenue.

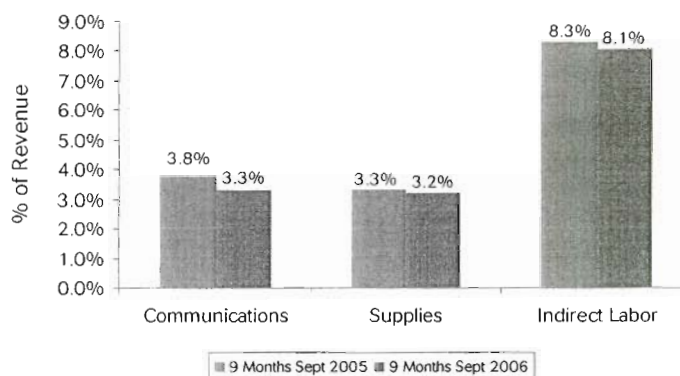
Gross margin increased from 59.1 percent in 2005 to projected 60.0 percent in 2006. This 0.9 percent margin increase is the result of increased productivity primarily driven by labor management visibility provided by the systems and controls put in place by Management in 2005.

Using pro forma employee and revenue data from the two predecessor companies, revenue per employee has improved from approximately \$69,700 in 2004 to over \$75,000 per year for projected 2006. This represents an improvement of almost 8 percent.



For the nine months ended September 30, 2006, operating expenses (including depreciation and amortization) were \$23.4 million in 2006 or 52.6 percent of revenue compared to \$21.7 million or 52.2 percent of revenue for the same period in 2005. The primary driver contributing to the increase of operating expenses as a percentage of revenue is the contribution of \$572k of amortization of specifically identified intangible assets related to the acquisition of ProMark and Great Plains. These intangibles were amortized ratably in 2006 compared to 2005 in which all amortization was recorded in the month of December. Exclusive of amortization costs, operating expenses as a percentage of revenue actually decreased by approximately 1 percent over 2005. In late 2005 early 2006, major vendor contracts were renegotiated with communication and supply providers reflecting the larger buying base of the Company. As a result of these efforts, for the nine months ending September 2006, communications expense has dropped from 3.8 percent to 3.3 percent of revenue and supply costs have dropped from 3.3 percent to 3.2 percent of revenue compared to prior year. Moreover, these changes were accomplished in an environment of aggressive right-sizing and upgrading of the corporate staff.

Costs as a % of Revenue



For the nine months ended September 2006, adjusted EBITDA was \$6.9 million, or 15.5 percent of revenue. This is an increase of \$1.5 million, or 26.7 percent over the result in the same period in 2005.

Management has undertaken a number of steps toward mitigating fuel cost risk. The transition to economy hatchback vehicles (discussed below) is the most significant manifestation, but CUS has also implemented other cost saving programs. For example, the Company has engaged all willing customers in conversations regarding fuel pass through programs. Since mid 2005, the Company has secured almost \$150,000 in annual cost reductions due to these efforts. Wright Express, a corporate fuel card program, is also utilized, providing a high level of insight and control on employee fuel expenditures. The system is able to provide a variety of real time exception reports on fuel usage patterns, and gives Management the ability to restrict usage of cards during given time periods.

Contract Retention Results in 2006

For 2006, the \$10.8 million of revenue scheduled for expiration among the top twenty customers was below 2005 levels. CUS saw little change in the revenue secured under its perpetual one-year contracts. The historical evidence demonstrates that this revenue is highly predictable year over year.

The \$10.8 million in renewal revenue was comprised of \$6.5 million to be retained through direct negotiations and \$2.6 million to be retained through competitive bid cycles. The Company has been able to increase pricing across both sets of processes by an average of 2.5 percent, demonstrating the effectiveness of the retention strategy. There is one contract for \$1.7 million that is pending approval through direct negotiations. If this final account is retained, the Company will have secured 100 percent renewals on the major contracts scheduled to expire in 2006.

The Company was also able to retain roughly \$2.8 million in mid-tier accounts through both direct negotiation and bid processes. The Company lost one mid-tier account to competitive pricing in Texas valued at roughly \$0.6 million. As in previous years, in 2006 CUS elected to exit a few small footprint contracts due to staffing and coverage issues.



Outside of the decision to end contracts in Colorado (which in 2005 generated revenue of approximately \$3.4 million), the contracts lost for 2006 represented \$2.5 million comprised of one account in Georgia and the one account previously referenced in Texas. In Georgia, the account was not scheduled for renewal until 2008, but a material change in ownership caused this organization to deviate from its standard contract cycle. This customer also realigned its regions creating a more challenging environment for vendors to support. The account was lost through a competitive bid cycle, but the bid procedures that the award was conducted under were unusual for the industry.

Summarizing retention results for 2006, the Company was able to retain \$17.8 million dollars in contract value from a potential pool of \$20.3 million with one \$1.7 million contract still pending. The Company was also able to offset the \$2.4 million in profitable business losses by adding \$1.5 million in profitable footprint growth. In addition, the Company anticipates an additional \$3-5 million in profitable new contracts to be secured by the end of 2006.

2005 compared with 2004

The Company reported revenue of \$55.2 million in 2005, an increase of 8.3 percent from \$50.9 million in 2004, driven primarily by new contracts in Colorado, New Mexico and Texas. Gross profit in absolute dollars increased to \$32.6 million from \$30.0 million in 2004, an increase of \$2.6 million or 8.7 percent.

Operating expenses (exclusive of depreciation and amortization) were \$25.7 million in 2005, compared to \$23.1 million in 2004, an increase of 11.3 percent or \$2.6 million, and increased as a percentage of revenue from 45.4 percent in 2004 to 46.6 percent in 2005 due to significantly higher fuel, insurance, and damage costs as well as significant one-time expenses associated with the integration of GPLS and Pro Mark into CUS.

Adjusted EBITDA was \$7.0 million, or 12.8 percent of revenue, in 2005, compared to \$6.8 million or 13.3 percent of revenue in 2004. This relatively stable result was achieved despite the aforementioned major market start ups, higher than expected fuel, insurance and damage costs, and one-time costs associated with post acquisition integration efforts.

Additionally, in 2005 the Company started and finished the vast majority of its post acquisition integration efforts. Management installed back office, front office, accounting and field systems that deliver the most streamlined, comprehensive and flexible management systems available. All operations were moved to a new robust accounting system (MAS 500) with one unified chart of accounts. All field technicians were transitioned to the Ticket Rx, the Company's wireless ticket management system. Fleet maintenance activities were migrated to Enterprise Fleet Management, and then to ARI. Monthly and weekly financial and operational reporting packages were introduced and implemented, giving managers across the Company unprecedented visibility into their individual operations.

Retention Results in 2005

Following the merger, CUS successfully implemented its customer retention strategy across the combined organization. At that time, a certain degree of volatility existed in the contract renewal cycles due to the fact each organization was managing renewal cycles independently.

Among the Company's top twenty customers, over \$14.2 million in revenue faced contract expirations during 2005. CUS secured two of the top ten major contracts through direct renewal totaling \$5.9 million. Additionally, \$8.3 million in renewal revenue was secured through the competitive bid cycle process with four contracts above \$1 million each, and these competitive renewals averaged 4.6 years in extended term length.

Of the more than 150 accounts categorized as footprint accounts, typically between five and ten terminate per year at the instigation of CUS or the customer. Among the footprint contracts that are perpetual one year terms, there is rarely any turnover.

Retention losses for 2005 totaled \$2.9 million and were more than offset by \$6.5 million in profitable new business (excluding Colorado). The lost business was segmented into two categories. The first category was unprofitable accounts representing \$1.7 million of annual revenue. CUS elected to significantly increase the price during the bid cycle with these contracts to either ensure profitability or eliminate the loss from servicing these customers. These accounts resulted in top line revenue reductions in West Virginia (which the Company exited), Missouri, and North Carolina, but improved EBITDA results in the states where CUS continued to provide service. The second category was competitive losses that totaled \$1.2 million. These two accounts (in Georgia and Kansas) were profitable contracts where overlapping competitors provided significantly lower pricing than CUS was willing to accept.

Overall, the Company was able to retain \$18.4 million in contract value from a potential pool of \$21.3 million in contract expirations. The company was also able to offset the \$1.3 million in profitable business losses by adding \$6.5 million in profitable growth.

Capital Expenditures

During 2005, the Company invested \$3.9 million in capital expenditures, with the comparable estimated full-year figure for 2006 being \$2.6 million. These expenditures, primarily on vehicles, tools and IT equipment, have modernized the Company's fleet and operations. Over the next several years, lower levels of capex will be required to maintain the current level of business. Additionally, the Company has invested strongly in maintenance and repair since its formation.

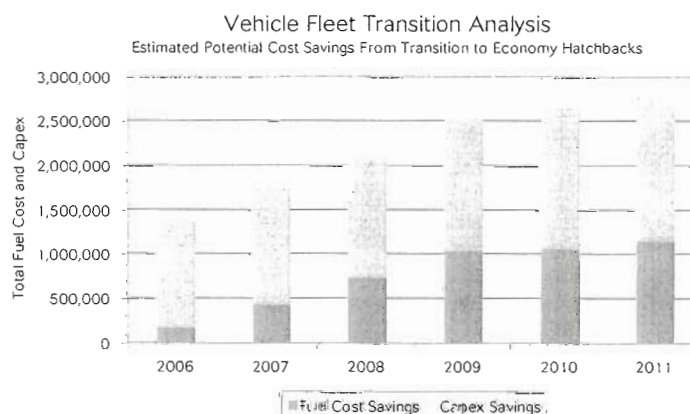
A major initiative of the Company has been to transition its vehicle fleet from light pickups to compact hatchbacks, such as the Chevy Aveo. This has resulted in savings on multiple fronts, including capital cost, fuel consumption, repair and maintenance costs, interest payments, insurance and workers compensation rates. With only approximately 145 Aveos out of 900 total vehicles today, a significant amount of cost reduction still remains attainable. Eventually the Company believes that it can utilize vehicles similar to the Aveo for virtually all of its fleet. Below is an analysis performed to estimate the potential fuel cost and capex savings from such a transition.



Vehicle Fleet Transition Cost Analysis. An analysis performed by the Company suggests that a vehicle fleet 100 percent comprised of hatchback vehicles would yield potential total fuel cost savings of approximately \$1.1 million per year by 2011. In addition, assuming all new vehicles purchased are hatchbacks, annual capex savings are estimated to be approximately \$1.7 million per year by 2011. This is in comparison to the existing fleet mix, grown at 7 percent per year through 2011.

Although CUS truck fleet is an amalgam of several types of light duty trucks, for the purposes of the analysis the price and fuel economy ratings for the light trucks are based on those of the Ford Ranger. Other assumptions used in the analysis include a flat cost of fuel over time of \$2.50 per gallon, and fuel efficiency ratings of 19 mpg and 28 mpg for the light pickup and hatchback vehicles, respectively. In addition, it is assumed, based on Management's estimates, that 20 percent of the total fleet is turned over annually.

Vehicle Fleet Cost Analysis Average Annual Fuel and Capital Expenditures Light Pickup vs. Economy Hatchback						
	2006	2007	2008	2009	2010	2011
Existing Fleet	900	963	1,030	1,103	1,180	1,262
Fleet Growth (7%)	63	67	72	77	83	88
Fleet Turnover (20%)	180	193	206	221	236	252
Total New Vehicles	243	260	278	298	319	341
Number of Light Pickup Vehicles	755	558	347	122	-	-
Number of Hatchback Vehicles	145	405	683	981	1,262	1,351
Total Company Fuel Costs	\$2,807,213	\$2,739,534	\$2,667,116	\$2,589,630	\$2,817,626	\$3,014,860
Total Fuel Costs If All Light Pickups	\$2,960,526	\$3,167,763	\$3,389,507	\$3,626,772	\$3,880,646	\$4,152,291
Fuel Cost Savings	\$153,313	\$428,230	\$722,390	\$1,037,142	\$1,063,020	\$1,137,431
Annual Capex If All Light Pickups	\$3,511,350	\$3,757,145	\$4,020,145	\$4,301,555	\$4,602,664	\$4,924,850
Annual Capex If All Hatchbacks	2,291,490	2,451,894	2,623,527	2,807,174	3,003,676	3,213,933
Capex Savings	\$1,219,860	\$1,305,250	\$1,396,618	\$1,494,381	\$1,598,988	\$1,710,917
Assumptions						
Light Pickup						
Fuel Cost Per 100 Miles (\$2.50 / gallon)						
Fuel Cost Per Vehicle Per Year (25,000 miles)						
Hatchback						
Fuel Cost Per 100 Miles (\$2.50 / gallon)						
Fuel Cost Per Vehicle Per Year (25,000 miles)						
Current Fleet Size	900					
Annual Turnover	20%					
Fleet Growth Per Year	7%					
Light Pickup Fuel Rating	19 mpg					
Hatchback Fuel Rating	28 mpg					
Light Pickup Price	\$14,450					
Hatchback Price	\$9,430					
Fuel Price	\$2.50					
Miles per year per vehicle	25,000					



Further currently un-quantified savings also exist in repair costs, tire costs and insurance costs associated with the Aveo. For example, for YTD 2006, while Aveos accounted for 15 percent of all fleet miles driven, they only accounted for 2 percent of all at-fault accidents experienced by CUS.

Disclaimer

THE FOLLOWING FINANCIAL INFORMATION HAS BEEN PREPARED BY THE MANAGEMENT OF THE COMPANY AND IS BASED ON PRESENT CIRCUMSTANCES, INFORMATION CURRENTLY AVAILABLE, AND ASSUMPTIONS ABOUT FUTURE GROWTH OPPORTUNITIES. PROJECTIONS ARE INHERENTLY UNCERTAIN BECAUSE THEY ARE BASED ON ASSUMPTIONS ABOUT FUTURE EVENTS. NO REPRESENTATIONS CAN BE MADE AS TO THE ACCURACY OF SUCH INFORMATION OR THE RELIABILITY OF SUCH ASSUMPTIONS. GROWTH OF THE COMPANY MAY NOT MATERIALIZE AS EXPECTED, OR MAY OCCUR AT A SIGNIFICANTLY DIFFERENT PACE THAN PROJECTED. ACCORDINGLY, ACTUAL REVENUE AND EXPENDITURES MAY VARY SIGNIFICANTLY FROM MANAGEMENT'S PROJECTIONS. THEREFORE, THE PROJECTIONS AND THE ASSUMPTIONS ON WHICH THEY ARE BASED SHOULD NOT BE INTERPRETED AS A GUARANTEE OR PROMISE OF THE COMPANY. NEITHER THE COMPANY NOR HEADWATERS MB HAS ANY OBLIGATION TO MODIFY, AMEND, UPDATE, ALTER, OR CHANGE THE PROJECTIONS CONTAINED HEREIN.



Financial Projections

Revenue is projected to increase 5.4 percent during 2007 to \$60.5 million and then grow 7.5 percent annually over the next four years, increasing to \$80.8 million in 2011. The Company believes these projections to be readily attainable for the following reasons:

- The recurring nature of its revenue stream
- Organic ticket volume growth
- The history of high contract renewal rates
- No assumed penetration of growth opportunities such as damage and claims management or audit and compliance services
- Potential acquisitions are not included

The revenue growth rate is projected based on forecast organic ticket volume growth in existing contracts, together with, (i) additional layering of contracts in existing markets, and (ii) expanded geographical penetration and associated layering.

The Company has already contractually secured \$32.7 million or 55.0 percent of projected 2007 revenue from contracts currently in place. Additionally, the Company has a substantial population of customers operating under perpetual one-year agreements which renew automatically and have historically proven extremely stable. These contracts total \$5.7 million or 10.0 percent of projected 2007 revenue. The Company has a relatively normal renewal cycle that takes place over the next fifteen months in which \$17.2 million of existing contracts expire. The vast majority of renewals come from long-standing customers with an average tenure of approximately 4 years that are in footprints in which the Company is significantly layered and, as such, has pricing advantages its competitors do not have. The Company believes, based on the aforementioned facts and historical renewal success, that these contracts will renew with immaterial, if any, losses. Additionally, based upon the Company's current pipeline as well as its bid processes throughout 2007, Management projects additional new business of \$4.9 million or 8.0 percent of projected 2007 revenue.

Projected 2007 Revenue Summary		
Description	\$ Amount	% of 2007 Projected Revenue
Contractually Secured Revenue	32.7	54%
Perpetual - Auto Renew Contracts	5.7	9%
Contract Renewals - Over Next 15 Months	17.2	28%
New Business - Identified and Actively Pursuing	4.9	8%
2007 Projected Revenue	60.5	100%

Gross margin is projected to increase from 60.0 percent in 2006 to 60.9 percent in 2007 and then to grow modestly by 15 basis points annually over the following four years increasing from 59.1 percent or \$32.6 million in 2005 to 61.5 percent or \$49.7 million in 2011. Gross profit is therefore projected to increase from \$32.6 million in 2005 and \$34.5 million in 2006 to \$36.9 million in 2007 and \$49.7 million in 2011.

Operating expenses (exclusive of depreciation and amortization) are projected to remain stable as a percentage of revenue over the projected period based on historical trends and the Company's understanding of the cost and operational structure. Operating expenses as a percentage of revenue were 46.6 percent in



2005, and 45.4 percent for the nine months ended September 2006. The Company is projecting operating expenses as a percentage of revenue to be 46.0 percent of revenue for the projected period.

Based on the foregoing, Management estimates that adjusted EBITDA margins will continue to expand through the projection horizon growing from 12.8 percent in 2005 to 15.7 percent in 2011. This trend is supported from past results, profitable revenue growth and operational efficiencies.

Summary Projected Operating Statistics

(\$ in thousands)

	Projected					
	2006	2007	2008	2009	2010	2011
Revenue	\$ 57,442	\$ 60,526	\$ 65,066	\$ 69,945	\$ 75,191	\$ 80,831
Direct Labor ⁽¹⁾	22,976	23,645	25,321	27,115	29,036	31,093
Gross Profit	34,466	36,881	39,744	42,830	46,155	49,738
Total SG&A	26,206	27,805	29,891	32,133	34,543	37,133
EBITDA	8,260	9,075	9,854	10,698	11,613	12,605
Adjustments						
Other income/(expense)	252	58	62	67	72	77
Adjusted EBITDA	8,512	9,133	9,916	10,764	11,685	12,682
Depreciation & Amortization	4,280	4,435	3,695	3,067	3,385	3,756
Adjusted EBIT	4,232	4,698	6,221	7,697	8,299	8,926
EBIT	3,979	4,640	6,159	7,630	8,228	8,849
Interest	1,981	1,567	1,331	980	431	118
Taxes	550	1,000	1,836	2,567	3,027	3,403
Mgmt Fees and Trans Costs	301	300	300	300	300	300
Net Income	1,400	1,831	2,754	3,850	4,541	5,105
CAPEX	(2,645)	(2,385)	(2,800)	(3,080)	(3,388)	(3,727)
⁽¹⁾ Only field labor (tech's, tech supervisors and contract labor) are considered COGS; consumable costs are in SG&A						
Growth Rate Analysis						
Revenue	8.3%	5.4%	7.5%	7.5%	7.5%	7.5%
Adjusted EBITDA	4.2%	7.3%	8.6%	8.6%	8.5%	8.5%
Margin Analysis						
Gross Profit	60.0%	60.9%	61.1%	61.2%	61.4%	61.5%
Adjusted EBITDA	14.8%	15.1%	15.2%	15.4%	15.5%	15.7%

